SIP Business Update

20 May 2025

Executive summary

[For update]

1. Performance
   a. [Q1-25] 151K ADO (+51% YoY, CB penetration +1.7pp YoY), $9M PC2 (+4M YoY)
   b. [2025 full year] On track to full-year 169K ADO (+46% YoY, CB penetration +1.4pp YoY), $31M PC2 (+7M YoY)
2. Growth levers
   a. [More SKUs] Improve SKU migration process/system; revive SKUs, **+16K ADO**
   b. [Cheaper price] Lower margin markup by reducing COGS, shipping cost, marketing markup, **+22K ADO**
   c. [Better marketing investment] Reduce ads spending on old SKUs; reinvest into new SKUs and optimize ROAS, **+8K ADO**
   d. [Better shop CS ops] Improve shop CS target setting, agent performance; centralize agent management (improve shop CSAT by 18pp to 72%, **+1.3K ADO**)

[For discussion]

3. Further price optimization based on elasticity
   a. 2 types of markup components in SIP pricing: 1) fixed/cost-based components (shipping, opex, platform fees, tax); 2) variable (marketing markup, mainly ads)
   b. Ads performance comparable with CNCB LT sellers, comparable ROI and better CPO
   c. Ads budget (~5% GMV) higher than CNCB LT sellers; however, reducing and increasing markup % will both likely lead to lower topline
   d. To generate more ads budget without hurting price competitiveness, we plan to further optimize pricing based on SKU-level price elasticity - increase price for inelastic SKUs; reduce price for elastic SKUs
   e. Pilot study shows that the new approach will bring **+4K ADO uplift potential** by Dec-25 across lanes; 2K from cheaper price; 2K from incubating new SKUs with more budget from higher price

1. [To update] Performance

Performance: Q1-15 151K ADO (+51% YoY, CB penetration +1.5pp YoY), $9.4M PC2 (+2.9M YoY); on track to full-year 166K ADO (+43% YoY, CB penetration +1.3pp YoY), $30.5M PC2 (+3.9M YoY)

Table: SIP performance and projection FY24 and FY25

	Q1'24	Q2'24	Q3'24	Q4'24	FY24	Q1'25	Q2'25	Q3'25	Q4'25	FY25	Q1'25 YoY	FY25 YoY
ADO	**100,080**	**105,008**	**110,345**	**147,461**	**115,813**	**151,386**	**143,622**	**171,486**	**197,329**	**166,073**	**51%**	**43%**
...Local SIP	72,354	77,249	88,892	126,560	91,354	130,186	119,763	145,604	168,307	141,082	80%	54%
...CN SIP	27,726	27,759	21,453	20,901	24,459	21,200	23,859	25,882	29,022	24,991	-24%	2%
ADO as %CB	**3.8%**	**3.8%**	**3.9%**	**4.8%**	**4.1%**	**5.3%**	**5.1%**	**5.5%**	**5.6%**	**5.4%**	**1.5%**	**1.3%**
...Local SIP	2.7%	2.8%	3.1%	4.2%	3.2%	4.6%	4.2%	4.6%	4.8%	4.6%	1.8%	1.3%
...CN SIP	1.0%	1.0%	0.8%	0.7%	0.9%	0.8%	0.9%	0.9%	0.8%	0.8%	-0.3%	0.0%
ADG (USD)	**$1,064,010**	**$1,095,087**	**$1,135,711**	**$1,511,936**	**$1,202,494**	**$1,549,528**	**$1,639,683**	**$1,868,071**	**$2,094,579**	**$1,789,477**	**46%**	**49%**
...Local SIP	$846,646	$861,831	$961,599	$1,338,484	$1,002,948	$1,392,520	$1,455,891	$1,669,518	$1,872,380	$1,599,089	64%	59%
...CN SIP	$217,364	$233,256	$174,112	$173,452	$199,546	$157,008	$183,792	$198,553	$222,199	$190,388	-28%	-5%
ADG as %CB	**5.6%**	**5.5%**	**5.5%**	**6.5%**	**5.8%**	**7.1%**	**7.4%**	**7.6%**	**7.4%**	**7.4%**	**1.5%**	**1.6%**
...Local SIP	4.4%	4.4%	4.6%	5.7%	4.8%	6.4%	6.6%	6.7%	6.6%	6.6%	2.0%	1.8%
...CN SIP	1.1%	1.2%	0.8%	0.8%	1.0%	0.7%	0.9%	0.8%	0.8%	0.8%	-0.4%	-0.2%
P&L (USD M)	**$6.5**	**$5.8**	**$6.7**	**$7.7**	**$26.6**	**$9.4**	**$4.5**	**$7.7**	**$8.9**	**$30.5**	**$2.9**	**$3.9**
...Local SIP	$6.3	$5.4	$6.0	$6.7	$24.4	$8.4	$3.6	$6.8	$7.8	$26.6	$2.2	$2.2
...CN SIP	$0.2	$0.4	$0.6	$1.0	$2.2	$1.0	$0.9	$1.0	$1.1	$3.9	$0.7	$1.7

Key Highlights

- **Q1'25: achieved 151K ADO (+51% YoY, CB penetration +1.5pp YoY), $9.4M PC2 (+$2.9M YoY),** mainly driven by growth/optimization initiatives (deep-dive in section 2)
- **FY25: proj 166K ADO (+43% YoY, CB penetration +1.3pp YoY), $30.5M PC2 (+3.9M YoY),** by scaling up growth initiative across all SIP lanes, and exploring further pricing optimization (deep-dive in section 3)

Note: FY25 PC2 projection includes negative hit from recent IDSIP fraud case
Note: the current project excludes Direct selling projection due to uncertainty in system readiness timeline and thus business ramp up speed

2. [To update] Growth levers

Key growth levers: SIP focus on driving growth with 1) more SKUs; 2) cheaper price; 3) better marketing; 4) better shop ops; total 45k ADO uplift potential from 6 key growth levers contributing to 90% of total growth

Table: Selected list of key optimization initiatives

Focus	#	On-going initiative	Description	Impact potential (Dec-25)
More SKUs	1	**Improve SKU migration process/system; revive SKUs**	• Revise SIP seller onboarding criteria • Improve system migration efficiency with product/ops fix • Revive non-performing SKUs after price reduction	+120 million SKUs (+155%) **+15.6K ADO**
Cheaper price	2	**Export seller price reduction**	• Push top export sellers in ID/VN/MY to lower selling price to SIP	5-20% settlement price reduction from 6% top export sellers **+5.9K ADO**
	3	**Non-performing SKU markup reduction**	• Conduct price cut for 48M non-performing SKUs to remove marketing budget markup	Average 6% price reduction **+8.3K ADO**
	4	**SLS cost reduction**	• Negotiate down shipping rate in 18 SIP lanes	$0.13 SLS CPO reduction **+7.8K ADO**
Better marketing	5	**Ads spending optimization based on SKU lifecycle**	• Reduce ads spending on old SKUs • Reinvest into new SKUs and optimize ROAS	+28k new SKUs incubated within current budget **+7.9K ADO**
Better shop ops	6	**Shop CS improvement**	• Improve shop CS target setting and agent performance • Centralize agent management	72% shop chat CSAT (+18pp) 15% shop chat conversion (+6pp) **+1.3K ADO**

[Back-up] Full list of ongoing SIP growth initiatives Q1-Q2

Focus	On-going / planned initiative
More SKUs	• Improve SKU migration process/system; revive SKUs • Source SKUs/brands based on 1) import market top search/trendy keywords; 2) import market wishlist
Cheaper price	• Negotiate lower selling price from sellers in export market • Remove marketing markup for non-performing SKUs • Negotiate lower line haul cost with vendor • Implement order consolidation to reduce last-mile CPO • Explore repacking to reduce shipping cost with a lower weight tier • Reduce overcharge in export market BPSF rate card • Optimize SKU-level pricing based on price elasticity • Minimize OPEX loss from fraud (RR, COD failure, cancelation) in collaboration with regional business security team
Better marketing	• Improve ads spending based on SKU lifecycle (remove ads from old SKUs and incubate new SKUs) • Ramp up SIP AMS across markets • Ramp up SIP video supply (PDP, seller video, AIGC video) across markets
Better shop ops	• Improve shop chat / shopbot to improve chat CSAT and conversion • Improve shop listing quality to improve conversion
Healthy P&L	• Formalize export market platform fee passback to SIP • Reduce shipping loss with better weight prediction • Resell SIP-PH RR/fail delivery parcels to PH users • Recover seller compensation from cancellations (seller fault)
Shorter BWT	• Reduce FM lead time bypassing SOC operations • Add new transit warehouse to reduce FM/LH lead time • Explore direct flights to reduce linehaul lead time
Program revamp	• Grow ADO with Mar Raya push in SG and MY • Revamp CNSIP business model to improve seller adoption, SKU migration, and pricing • Move short-tail SIP sellers to Direct selling to improve SKU effi

1 More SKUs: Only 4% ID / 8% VN local SKUs live on top SIP lanes in Feb-25; potentially grow to 16-26% by Dec-25, via 1) revising onboarding criteria; 2) fixing system/ops/data gaps; 3) reviving SKUs post price reduction

Table: SKU migration assessment for top 5 SIP lanes

	IDMY			IDPH			IDSG			MYSG			VNMY		
	SKU (mil)	SKU (%)	ID ADO (%)	SKU (mi)	SKU (%)	ID ADO (%)	SKU (mi)	SKU (%)	ID ADO (%)	SKU (mil)	SKU (%)	MY ADO (%)	SKU (mil)	SKU (%)	VN ADO (%)
Live local SKUs in export market	256	100%	100%	256	100%	100%	256	100%	100%	29	100%	100%	50	100%	100%
(As-is) Live SIP SKUs migrated to import market	**10**	**4%**	**19%**	**7**	**3%**	**15%**	**9**	**4%**	**18%**	**7**	**24%**	**34%**	**4**	**8%**	**21%**
SKU migration gap	246	96%	81%	249	97%	85%	247	96%	82%	22	76%	66%	46	92%	79%
... 1. Failed SIP onboarding criteria	133	52%	12%	134	52%	13%	135	53%	13%	7	24%	1%	18	36%	2%
... 2. Seller rejected/no response/opt-out	12	5%	13%	12	5%	12%	12	5%	12%	1	3%	11%	4	8%	15%
... 3. Migration issue (system bug, ops limit)	21	8%	10%	21	8%	10%	22	9%	10%	3	9%	8%	5	10%	10%
... 4. Non-performing SKU/inactive shop cleanup	15	6%	13%	17	7%	18%	14	5%	13%	1	3%	4%	5	10%	18%
... 5. Shops/SKUs issues	39	15%	24%	34	13%	25%	36	14%	23%	5	17%	22%	8	16%	20%
... 6. Unknown reasons	26	10%	10%	29	11%	10%	27	11%	10%	5	17%	20%	6	12%	15%
(To-be) SKU migration potential post optimization	**40**	**16%**	**42%**	**39**	**15%**	**41%**	**40**	**16%**	**40%**	**10**	**34%**	**48%**	**13**	**26%**	**48%**

Ongoing initiatives to close the SKU migration gaps

1. **Failed SIP onboarding criteria (12-13% SKU gap in IDSIP):** revise IDSIP onboarding criteria, keep only the essential filters such as 1) prohibited categories; 2) shop ops issues (RR, rating, frozen/banned shops), shortened new seller requirement from 90 days to 30 days (but still need to be ADO generating) [completed]
2. **Seller rejected/no response/opt-out (3-8% SKU gap)**: repitch with mass TOS after systemic issues resolved [ETA Q3]
3. **Migration issues (system bug, ops limit) (8-10% SKU gap):** 1) BPM to enhance auto-resync system and resolve product related migration issue codes [ETA Q2]; 2) SIP ops to align with CB ops/reg ops to request shop limits exceptions to allow mass resync [ETA Q2]
4. **Non-performing SKUs/inactive shops cleanup (3-10% SKU gap)**: revival with listing price reduction, listing quality improvement
5. **Shop/SKU issues (13-17% SKU gap):** include poor ops [high RR/CR], problematic sellers/skus and prohibited SKUs. No further actions for now to mitigate P&L/PR risks
6. **Unknown reasons (10-17% SKU gap):** work with product/BI to fix the unidentification issue of unknown reason codes [ETA Q2]

1 More SKUs: Improved SKU supply to 100M (+29%) as of May; on track to grow total SIP SKU count to 200M (+155%) by Dec-25, +15.6K ADO uplift potential

Table: SKU migration improvement and topline impact by import market

Import market	Live SKU count ('000)					ADO uplift	
	Feb-25	May-25	Dec-25	May vs Feb	Dec vs Feb	May-25	Dec-25
SG	26,718	32,437	59,347	21%	122%	1,526	5,347
MY	20,392	27,030	53,153	33%	161%	1,876	5,324
PH	16,848	23,067	52,430	37%	211%	1,142	3,509
TH	11,511	13,002	23,414	13%	103%	182	1,118
TW	2,359	4,228	10,548	79%	347%	56	141
VN	281	765	944	172%	235%	111	122
Total	**78,108**	**100,529**	**199,835**	**29%**	**155%**	**4,893**	**15,560**

Highlights

- **Improved SKU supply by 29% in May vs Feb**, by completing 1) SKU onboarding criteria revision; 2) SKU revival of top lanes after price reduction; May MTD ADO uplift +4.9K from newly migrated/revived SKUs
- **On track to grow SKU supply by 155% by Dec-25 with ADO uplift potential of 15.6K**, by 1) fixing system and data issues; 2) lifting ops limitations; 3) repitch sellers post system fix
- The ADO uplift considers only organic ADO growth without marketing support. Potential from new SKUs incubated with marketing support deep-dived in later pages

1 More SKUs: Additionally, we are also working on sourcing/pushing SKUs based on local demand, by 1) capturing top search and trendy keywords in import markets, 2) collecting local BD needs on SEA+TW brands

Table: Weekly top/trendy keyword monitoring for each import market (IDMY example)

Keyword category	Keyword (MY example)	Translation	Platform metrics to match			SIP approach
			PV	CR	Order	
Weekly top search (top selling)	tisu gantung viral (H&L)	viral hanging tissue	114,974	6.1%	7,049	• Identify existing / potential SIP SKUs for each key word • Compare PV/CR/order versus platform metrics • Improve accordingly (source more SKUs, increase ads investment to improve PV, reduce price to improve CR)
	tudung sarung (MF)	instant shawl	128,212	2.5%	3,168	
	baju tidur perempuan (WC)	women's nightgowns	148,786	1.8%	2,751	
Weekly trendy keyword (new and seasonal)	hadiah hari guru bajet (H&L)	budget teacher's day gift	30,030	1.1%	333	
	kain ihram budak lelaki (MF)	boy's ihram cloth	6,152	4.1%	253	
	lingerie sexy set (WC)	lingerie sexy set	26,630	1.1%	256	

Highlights

On top of on-going large-scale SKU migration effort, we are also tailoring the sourcing and marketing push closely with local demand of import markets, via

- Capture top search/selling and trendy/seasonal keywords weekly in each import market, source and market SIP SKUs under the same keywords
- Collect local demands on overseas brands in SEA+TW markets from local BD team in import markets, acquire the brands onto SIP and migrate to the import markets; recently we work with PH closely for their target local brands in TH, VN, SG

2 Cheaper price - seller price: 1) Lowered seller settlement price by 5-20% price for ~6% of top SIP export sellers from ID/VN/MY; 2) launch system solution to reduce seller price at scale; +5.9K ADO by Dec-25

Table: 1:1 RM pitching summary Jan-May

Pitching Progress Metrics		MY	VN	ID	Total
Pitching status	Pitched (seller #)	1924	450	346	2720
	Accepted (# sellers)	105	69	52	226
Impact	Accepted seller Jan ADO	767	2,316	3,665	6,748
	Accepted seller May ADO	904	3,410	4,833	9,147
	ADO uplift (May vs Jan)	+140	+1,094	+1,168	+2,402
	Proj. ADO uplift (Dec vs Jan)	**+500**	**+2,000**	**+1,100**	**+3,600**

Highlights

Lower seller price via 1:1 RM pitching

- Context: export sellers include local OPEX and marketing costs (~7-18% markup) in listing prices; however the costs do not incur for overseas SIP orders
- We pitched sellers in our 3 biggest export markets (ID/VN/MY) to reduce their selling prices for SIP, in exchange for marketing incentives
- Total 5.7k top managed sellers pitched (~50% of SIP ADO); 6% of these sellers agreed to a 5-20% price reduction, +2.4K ADO from Jan to May
- Next step to continue pitching new sellers, **+3.6k ADO uplift potential by Dec'25**

Mass pitching with regional discount tool [launch ETA: end-Q3]

- A new feature to enable sellers to directly apply storewide discount for SIP orders, via Local SC
- **+2.3K ADO uplift potential by Dec'25**, assuming 25% seller opt-out on VN/MYSIP with 5% price reduction each

3 Cheaper price - marketing markup optimization: Removed marketing mark-up for 48M non-performing (not order generating after migrating 3 months) SKUs to reach their lowest listing price; +8.3K ADO by Dec-25

Table: Marketing markup reduction and topline impact by import market

Import Market	Price Reduction	SKU Count	% SKUs	May-25 ADO Actual	Dec-25 ADO Potential
SG	-7%	16,951,281	55%	1,142	2,159
MY	-7%	14,852,052	56%	1,536	3,065
PH	-7%	14,154,343	65%	828	1,976
TH	-5%	1,539,374	14%	429	853
TW	-5%	1,039,497	39%	79	289
Total	**-6%**	**48,536,547**	**52%**	**4,014**	**8,341**

Highlights

- Context: historically we mark up ~6% marketing budget for all SKUs; when they generate orders the markup will become our marketing budget. However for SKUs which are not generating orders, they won't be able to generate marketing budget despite the markup
- We removed all marketing markup (~6% across lanes) for 48M non-performing SKUs to reach their lowest price based on cost; covering 52% of total SIP live SKUs
- Achieved 4K ADO uplift in MTD May-25 after mass set up completed in end Mar, as orders generated from cheaper SKUs
- **8.3K ADO uplift potential by Dec-25,** with weekly addition of new SKUs via migration + automated price drop by system

4 Cheaper price - logistics cost: Negotiated down 4-27% linehaul cost for 18 lanes, -$0.13 CPO; +7.8K ADO by Dec-25

Table: LH shipping cost reduction and topline impact for 18 SIP lanes

Lane	LH shipping cost change		ADO uplift	
	Change (USD)	Change (%)	Feb-25 actual	Dec-25 potential
IDPH	-$0.53	-21%	2,445	3,204
VNMY	-$0.56	-25%	1,236	1,765
VNPH	-$0.41	-15%	413	812
IDMY	-$0.12	-8%	351	379
THPH	-$0.09	-4%	298	365
MYSG	-$0.15	-7%	217	316
VNSG	-$0.30	-11%	212	294
MYPH	-$0.75	-27%	134	217
VNTW	-$0.56	-14%	84	110
TWSG	-$0.48	-14%	68	118
IDSG	-$0.06	-3%	62	69
IDTH	-$0.17	-7%	32	39
PHSG	-$0.56	-15%	31	49
PHMY	-$0.09	-4%	20	29
MYTH	-$0.30	-12%	13	19
THSG	-$0.21	-7%	12	18
SGMY	-$0.96	-21%	2	5
SGTH	-$0.91	-19%	8	15
Total	**-**	**-**	**5,638**	**7,824**

Context

- SIP SLS team concluded linehaul contract review and renegotiation in Jan-25
- **Secured shipping cost reduction in 18 lanes, with an overall $0.13 SLS CPO saving, translating to -0.24% overall SIP SKU price reduction**

Topline impact

- Overall +5.6K ADO uplift in Feb-25
- **+7.8K ADO uplift potential by Dec-25**

Next steps

- In preparation for RFQ renegotiation for H2, focusing on better logistics solution and cost reduction on 1) top 5 lanes; 2) high growth lanes
- Explore initiatives such as 压泡, order consolidation,repacking, ASM setup in ID TWS, direct flight etc

5 Better marketing - Context: Improve ads spending by 1) integrating with GMV Max auto-bidding 2) investing in new SKUs with weekly budget adjustment; 3) releasing budget from old SKUs to fund new SKU incubation

Context

- Before Feb-25, SIP ads spending approach was to double-down on top performing SKUs to maximize ADO (lowest CPO) by script
- Issues with the approach: 1) no systematic way to manage ads except scripts which was not integrated with Shopee ads management 2) new SKUs lack exposure support to start generating order; 3) some top-performing SKUs are loss-making; 3) ads spending adjusted on monthly basis (vs top MP sellers adjusting daily/real-time)
- The team redesigned the ads spending approach with 5 key changes to drive more sustainable and profitable growth

Table: 5 actions taken to improve ads spending

	#	From	To
Integrate with GMV MAX	1	**Bi-weekly run script** to increase/decrease ads spendings for around 300k skus	A system **integrated with GMV MAX**, we use auto bidding to manage ads.
New ads SKU (not on ads, or on ads < 3 months)	2	**No budget for new SKUs**, they are expected to generate ADO organically before SIP invests ads	Differentiate the management of new skus and old skus, **reserve specific budget for new SKUs, starting with 10% in M1**, increasing MoM with savings from old SKUs
	3	Adjust ads spending per SKU **once a month**	**Adjust ads spending per SKU once every 5 days per cycle x 6 cycles** to reach steady state
Old ads SKU (on ads for 3 months and above)	4	Performing SKUs will be kept **on ads all-the-time**, regardless of their PC2 status	**Remove ads spending on PC2-ve SKUs**, reinvest savings to new SKUs
	5		**Reduce ads spending on PC2+ve SKUs**, as long as the ADO can be maintained with lower spending, reinvest savings to new SKUs

5 Better marketing - SKU lifecycle management: New ads SKUs will go through all 3 phases over 3 months; existing old ads SKUs will be put to Phase 3 directly for spending reduction/removal

Entry point of New Ads SKUs [3 months journey]
(newly migrated SKUs, newly revived SKUs, SKUs that have not been on ads or less than 3 months)

Entry point of Old Ads SKUs
(Old SKUs on ads for more than 2 months)

	Phase 1: Incubate	>>> Phase 2: Stabilize	>>> Phase 3: Graduate
Duration	1st month	2nd month*	3rd month
Objective	• Invest ads on new SKUs to increase their exposure, build reviews and sold count • Adjust ads to optimal level for new SKUs to allow best SKUs to stand out quickly	• Give new SKUs time to build up reviews, sold count, and start organic growth, while maintaining the exposure level	• Remove/reduce ads spending on old SKUs to fund the next batches of new SKU incubation
Approach	• Prioritize high potential new SKUs: 1) new SKUs in performing shops; 2) unique SKUs • Start with min daily ads budget for each SKU, adjust spending up/down every 5 days x 6 cycles based on ads ROI, until steady-state • Drop the SKUs with no orders after first 5 days	• Maintain same budget for SKUs coming out from Phase 1; no adjustment	• PC2+ve SKUs: Try to reduce ads spending as long as ADO can be maintained • PC2-ve SKUs: Reduce ads spending to break-even amount, eventually remove the ads spend completely if the SKUs cannot break-even within this phase
Decision metrics	• ADO (for keep/drop decision) • Ads ROI (for spending titration)	• Nil (no decision for this phase)	• SKU PC2 (for keep/drop decision) • Ads ROI (for spending reduction)
Budget	Start with 10%, adding MoM with savings from Phase 3		90%, dropping MoM with ads spending cuts

Budget saved from each batch of SKUs in Phase 3 to be added to Phase 1 budget every month

5 Better marketing - new SKU incubation: Fom Feb-Apr, 28k new SKUs from top lanes incubated, 8.3k SKUs successfully passed with 5.4K ADO, with better CPO/ROI/spending vs baseline

Table: New SKUs incubation performance

Lane	SKUs incubated		Performance with phased ads optimization				vs baseline (without phased optimization)			
	Total SKUs chosen	SKUs successfully passed incubation	ADO	CPO	ROI	Daily spend	ADO	CPO	ROI	Daily spend
IDMY	12,660	4,054	2,643	$2.20	$3.80	$5,918	339	-$0.50	$0.10	-$378
VNMY	2,019	330	301	$2.00	$4.00	$600	137	-$1.80	$1.10	-$20
MYSG	7,350	2,030	987	$5.90	$2.20	$5,827	12	-$0.50	$0.10	-$374
Other	6,048	1,917	1,440	$2.20	$4.50	$3,110	-154	$0.00	$0.10	-$463
Total	**28,077**	**8,331**	**5,372**	**$2.90**	**$3.40**	**$15,455**	**336**	**-$0.40**	**$0.20**	**-$1,235**

Highlights

- By relocating 10-20% SIP ads budget, we incubated total 28k new SKUs from 11 lanes
- With new ads automation tool with adjustment every 5 days, effectively eliminated low ROI SKUs; 8.3k SKUs successfully passed incubation stage with good ADO and ads ROI
- **5.4K ADO with $1.2k daily spending saving vs baseline, improved CPO from $3.3 to $2.9 (-13%) and ROI $3.2 to $3.4 (+4%)**

5 Better marketing - old SKU graduation pilot: In Apr-May, we removed/reduced ads spending on 6.5k old SKUs from top 5 lanes, reinvested $7.7k budget saving per day to incubate new SKUs, +1.4K ADO

Table: Old SKUs graduation performance

Lane	Old SKUs Baseline				With Graduation System Adjustment				Optimized outcome vs baseline			
	Ads SKU#	ADO	ADG	Daily Spend	Ads SKU#	ADO	ADG	Daily spend	Ads SKU#	ADO	ADG	Daily spend
IDMY	2,782	2,347	19,025	$3,804	1,817	1,992	19,030	$1,358	-965	-355	5	-$2,446
VNMY	2,128	2,310	16,811	$2,813	1,191	1,816	14,216	$462	-937	-494	-2,595	-$2,351
MYSG	1,181	1,243	12,025	$3,189	809	1,094	10,769	$713	-372	-149	-1,256	-$2,476
Other	377	216	2,536	$661	195	226	2,761	$216	-182	10	225	-$445
Total	**6,468**	**6,116**	**50,397**	**$10,467**	**4,012**	**5,128**	**46,776**	**$2,749**	**-2,456**	**-988**	**-3,621**	**-$7,718**

Highlights

- "Graduated" 6.5k old SKUs from ads investment by titrating down ads spending; out of which 2.5k SKUs had ads removed completely; the other 4.0k SKUs had ads spending reduced
- **Saved daily ads budget of $7.7K, with ADO change of -988 ADO (-16%)**
- Savings of $7.7 per order reinvested into new SKU ads, and **achieved +2.4K ADO uplift, resulting total ADO increase of 1.4K**

5 Better marketing - old SKU graduation scale-up: By replicating to all SIP lanes, combined impact of $11K budget savings leading to +2.5K ADO uplift potential by Dec-2025, within current ads budget

Table: Combined impact of old and new SKUs optimization

Import Market	Old SKUs Graduation			New SKUs Incubation			Combined
	Daily Savings	ADO Delta	Saving/ADO Delta	Daily Cost	ADO Delta	Cost/ADO Delta	ADO Uplift
SG	$3,838	-286	13.4	$3,838	824	4.7	**539**
MY	$5,990	-670	8.9	$5,990	2,373	2.5	**1,703**
TH	$193	-18	10.8	$193	28	6.8	**10**
PH	$1,409	-286	4.9	$1,409	519	2.7	**233**
Total	**$11,430**	**-1,259**	**9.1**	**$11,430**	**3,744**	**3.1**	**2,485**

Highlight

- Old SKUs graduation ramp up to other SIP lanes with expected **daily savings at $11K** by Dec-25 with **ADO change of -1.3K**
- **Net ADO increment +2.5K** when savings from graduated old SKUs fully re-invested for new SKUs incubation. Leverages a lower cost of $3.1 per ADO gain for new SKUs compared to the $9.1 savings per ADO lost from graduated SKUs
- Incremental ADO uplift with scale up is only +1.1K vs Apr-May pilot because 1) the pilot has included 10-15% old SKUs in top 5 lanes; the other lanes are much smaller; 2) the pilot captures lowest hanging fruits (highest ROI new SKUs vs lowest ROI old SKUs); with scale-up the trade-off value will narrow

6 Better shop ops: Improved shop chat CSAT by 16pp over past 2 months; on track to improve shop chat conversion rate by 5pp to 15%, +1.3k ADO by Dec-25

Table: Shop chat CSAT and chat conversion performance and target

CS agent Location	Import Market	Export Market	Performance				Target	
			Mar-25	Apr-25	May-25	May vs Mar	Dec-25	Dec vs Mar
Shop CSAT Overall			**54%**	**58%**	1 **70%**	**16%**	**72%**	**18%**
ID	SG,MY,PH	ID	54%	58%	74%	20%	72%	18%
MY	SG	MY,VN,TH,PH,TH,CN	42%	50%	66%	24%	72%	30%
MY	MY	VN,PH,TH,TW,SG,CN	61%	59%	70%	9%	72%	11%
PH	PH	MY,TH,VN,CN	48%	54%	64%	16%	72%	24%
TW	TW	ID,VN,CN	64%	57%	71%	7%	72%	8%
VN	VN	CN	64%	77%	80%	16%	72%	8%
TH	TH	ID,MY,VN,SG,CN	64%	68%	73%	9%	72%	8%
Shop Conversion Overall			**10%**	**10%**	**10%**	**0%**	2 **15%**	**5%**
ID	SG,MY,PH	ID	10%	10%	11%	1%	15%	5%
MY	SG	MY,VN,TH,PH,TH,CN	11%	11%	11%	0%	15%	4%
MY	MY	VN,PH,TH,TW,SG,CN	9%	9%	10%	1%	15%	6%
PH	PH	MY,TH,VN,CN	9%	9%	9%	0%	15%	6%
TW	TW	ID,VN,CN	10%	10%	12%	2%	15%	5%
VN	VN	CN	10%	11%	11%	1%	15%	5%
TH	TH	ID,MY,VN,SG,CN	10%	9%	9%	-1%	15%	5%

Highlights

1 **Shop chat CSAT: improved across all agent locations, overall +16pp;** by 1) enhancing agent CSAT through streamlined performance monitoring and target setting; 2) boosting chatbot CSAT via A/B testing with an LLM model

2 **Shop chat conversion: on track to improve by 5pp to 15% by Dec-25;** by 1) increasing agent conversion through improved CSAT; 2) integrating chatbot with upselling and cross-selling strategies

6 Better shop ops - Streamline target setting: Key CS performance metrics aligned with CB SCS, SG/MY SBS/SCS; target set based on 1) benchmarking best performance of biz lines; 2) incorporating self-optimization initiatives

Table: SIP CS performance metrics and target

			SIP					*Benchmark (Apr)*		
#	**Key Pillar**	**Metric**	Apr actual	Apr target	Jun target	Sep target	Dec target	CB SCS	Local SCS/SBS	**Target Setting logic and initiatives**
Overall										
1	Revenue	Chatbot+Agent Conversion	9.4%	9.0%	11.0%	13.0%	15.0%	*7.5%*	*12.2%*	Benchmark to local SCS to achieve ~40k monthly orders uplift
2	UX	Shop CRR	98.6%	95.0%	99.0%	99.0%	99.0%	*99.7%*	*95.5%*	Increase Shop CRR with auto-reply feature
3	UX	Shop CSAT	54.0%	55.0%	65.0%	70.0%	72.0%	*55.9%*	*71.7%*	Improve chatbot CSAT with adjusted chatbot deflection rate
In Shop Agent										
4	Revenue	Agent Conversion Rate	12.5%	12.5%	13.0%	14.0%	15.0%	*9.7%*	*13.6%*	Improve via 1) SOP standardization, 2)Manual pilot of upselling/cross-selling
5	UX	Agent CRR	92.3%	92.0%	93.0%	94.0%	95.0%	*96.6%*	*90.1%*	Align target with local CS to improve monitoring
6	UX	Agent CSAT*	83.0%	80.0%	80.0%	80.0%	85.0%	*78.1%*	*75.0%*	SOP standardization and weekly DSAT cases review
7	UX	Avg Waiting Time in Queue (min)	4.8	6.0	5.0	4.0	4.0	*12.9*	*5.7*	Improve productivity
8	UX	Avg. Response Time	59.3	40.0	30.0	30.0	20.0	*17.5*	*50.0*	Improve ART with SOP standardization
9	UX	Abandonment Rate*	1.1%	2.0%	2.0%	2.0%	2.0%	*4.1%*	*1.2%*	Align with MP CS target of 2%
10	Cost	Cost per Agent Session(USD)	0.58	0.58	0.58	0.46	0.38	*0.54*	*0.38*	Reduce 30% cost driven by 1) improve productivity;2) agent centralisation to PH
11	Cost	Agent Productivity (L1)	12.6	12.0	14.0	15.0	16.0	*11.1*	*14.7*	Benchmark CB SCS performance target in PH
Chatbot										
12	Revenue	Chatbot Conversion Rate	7.8%	8.0%	10.0%	13.0%	15.0%	*6.5%*	*10.6%*	Improve chabot conversion with pre-sales strategy initiatives
13	UX	Chatbot CSAT	38.9%	55.0%	60.0%	63.0%	65.0%	*49.8%*	*66.6%*	Rollout LLM model for both pre-sale and post-sale to solve buyer unsatisfied chats
14	Cost	Chatbot Deflection Rate	59.0%	65.0%	65.0%	65.0%	65.0%	*78.0%*	*63.9%*	Achieve the overall shop CSAT without extra agent HCs

* SIP are the best performer among the metrics of agent CSAT, abandonment rate; Target is setting with top performance lanes

6 Better shop ops - Improve agent performance: Improved agent chat CSAT/productivity/avg response time across locations over past 2 months; on track to meet agent conversion target by Dec-25

CS Location	Import Market	Export Market	Performance				Target	
			Mar-25	Apr-25	May-25	May vs Mar	Dec-25	Dec vs Mar
Agent CSAT			76%	83%	85%	10%	85%	9%
ID	...SG/MY/PH	ID	76%	80%	84%	9%	85%	9%
MY	...SG	MY,VN,TH.PH,TH, CNSIP	61%	81%	83%	22%	85%	24%
MY	...MY	VN, PH,TH,TW,SG,CNSIP	75%	89%	86%	11%	85%	10%
PH	...PH	MY,TH,VN,CNSIP	81%	80%	84%	3%	85%	4%
Agent Productivity			14.6	12.6	15.9	9%	16.0	10%
ID	...SG/MY/PH	ID	14.6	12.9	16.3	11%	16.0	10%
MY	...SG	MY,VN,TH.PH,TH, CNSIP	8.5	11.7	17.3	103%	16.0	88%
MY	...MY	VN, PH,TH,TW,SG,CNSIP	8.4	6.6	9.3	11%	16.0	90%
PH	...PH	MY,TH,VN,CNSIP	4.9	17.8	25.8	424%	16.0	225%
Abandonment rate			1.5%	1.1%	1.6%	0.0%	1.1%	0%
ID	...SG/MY/PH	ID	1.5%	1.2%	2.1%	-0.6%	1.2%	0%
MY	...SG	MY,VN,TH.PH,TH, CNSIP	0.6%	1.7%	1.3%	-0.7%	1.7%	1%
MY	...MY	VN, PH,TH,TW,SG,CNSIP	0.8%	1.2%	1.8%	-1.0%	1.2%	0%
PH	...PH	MY,TH,VN,CNSIP	0.3%	0.7%	0.8%	-0.6%	0.7%	0%
Agent Avg Response time/s			70.1	59.3	37.4	-47%	20.0	-71%
ID	...SG/MY/PH	ID	70.1	65.7	35.3	-50%	20.0	-71%
MY	...SG	MY,VN,TH.PH,TH, CNSIP	39.5	50.1	42.4	7%	20.0	-49%
MY	...MY	VN, PH,TH,TW,SG,CNSIP	24.3	46.2	37.3	54%	20.0	-18%
PH	...PH	MY,TH,VN,CNSIP	66.4	72.9	18.4	-72%	20.0	-70%
Agent conversion rate			13.9%	12.4%	12.0%	1.9%	15.0%	1%
ID	...SG/MY/PH	ID	13.9%	12.6%	12.6%	-1.3%	15.0%	1%
MY	...SG	MY,VN,TH.PH,TH, CNSIP	12.9%	13.9%	12.3%	0.6%	15.0%	2%
MY	...MY	VN, PH,TH,TW,SG,CNSIP	9.7%	10.4%	11.0%	-1.3%	15.0%	5%
PH	...PH	MY,TH,VN,CNSIP	12.5%	11.9%	11.5%	1.0%	15.0%	3%

Highlights

[Agent CSAT] Improved across all agent locations, overall +10pp by 1) implement weekly agent performance monitoring (3 warning letters = removal); 2) improve SOPs and retrain agents

[Agent productivity] Improved across all agent locations, overall +9pp by reviewing the HC planning with the local CS teams to solve the utilization issues

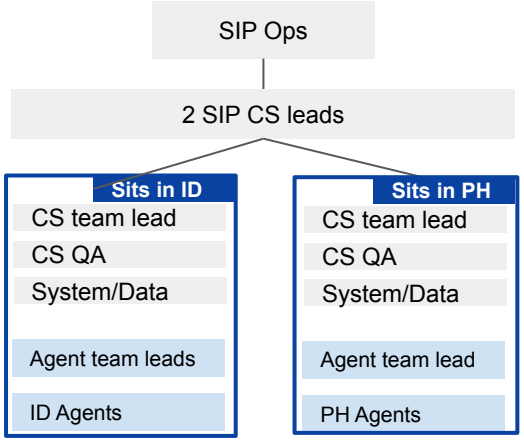
[Avg response time] Improved ~50% in ID/PH by 1) aligning new target with agents; 2) implement the 'quick text' pool to reduce agents' time spent on typing and checking

[Agent conversion rate] Target to improve by 3pp to 15% by Dec-25 by rollout substitute/upselling/cross-selling strategy

6 Better shop ops - Centralize agent management: Decentralized model has led to management difficulties and operational inconsistencies. Propose to consolidate agents in ID & PH to benchmark with CB SCS CS model

Import market	Export market	As-Is: Decentralized		To-Be: Centralized	
		CS agent location	Managed by	CS agent location	Managed by
SG/MY/PH	ID	ID	ID MP/SBS CS	ID	CB SIP
SG	all except ID	MY	SG MP/SBS CS	PH	
MY	all except ID	MY	MY MP CS		
TW	all	MY	MY MP CS		
PH	all except ID	PH	PH SBS CS		
VN	all	VN	VN MP CS		
TH	all	TH	TH MP CS		
BR	all	BR	BR MP CS		
CO/CL/MX	all	CO	CO MP CS		

Proposed: New org chart of SIP CS agent management



Highlights

SIP propose to centralize agents in ID and PH due to

- ID CS has competitive cost and acceptable agent performance in the past 4 years
- 2nd non-ID location is required because 1) CNSIP CS cannot move to ID due to policy limitations; 2) as a measure of de-risk/back-up/buffer
- Propose to have PH as the 2nd location because 1) CB SCS has PH as 2nd location (besides VN); 2) PH CS has acceptable agent performance

SIP propose to transfer ID/PH local CS TLs reporting line to SIP with 2 headcounts added for central management benchmarking CB SCS CS org

- 2 SIP ops HC for overall CS target setting, CS ops excellence,team performance tracking, cross-market process alignment
- Local TL scope: 1) supplier management: sourcing, contracting, billing, performance mgmt; 2) system and data management: system function, data dashboard, system issue handling; 3) QA: SOP, training, QA calibration

3. [For discussion] Further pricing optimization based on elasticity

SIP price markup overview : 2 types of markup components: 1) fixed/cost-based components (shipping, opex, platform fee, tax); 2) variable component (marketing budget markup, mainly ads)

Table: SIP price markup (post pricing optimization initiatives described in earlier sections) - IDMY example

Type	Components	Performing SKUs (with marketing markup)	Markup% MY Price	Non-performing (no marketing markup)	Markup% MY Price
Average ID Selling Price		**$4.16**	**64%**	**$4.16**	**68%**
Fixed Components	**+ Shipping**	1 **$2.27**	**35%**	**$2.27**	**37%**
	...ID BPSF	$0.89	14%	$0.89	14%
	...Line Haul	$0.55	8%	$0.55	9%
	...WH	$0.07	1%	$0.07	1%
	...Last mile	$0.74	11%	$0.74	12%
	- Paid by Buyer	-$1.33	-20%	-$1.33	-22%
	+ OPEX	**$0.25**	**4%**	**$0.25**	**4%**
	...RR	$0.17	3%	$0.17	3%
	...COD	$0.22	3%	$0.22	4%
	...Cancellation	$0.02	0%	$0.02	0%
	...FX	-$0.15	-2%	-$0.15	-2%
	+ MY Platform Fees	1 **$1.20**	**18%**	**$1.20**	**20%**
	...Commission	$0.98	15%	$0.98	16%
	...Transaction	$0.22	3%	$0.22	4%
	- ID Platform Fees	-$0.46	-7%	-$0.46	-7%
	+ Tax	**$0.05**	**1%**	**$0.05**	**1%**
Variable Components	**+ Marketing**	2 **$0.38**	**6%**	3 **$0.00**	**0%**
	...Ads (Deep dive today)	$0.33	5%	$0.00	0%
	...Item Rebate	$0.05	1%	$0.00	0%
Average MY Selling Price		**$6.53**	**100%**	**$6.15**	**100%**

Highlight: using IDMY as illustration

1. **Key markup components** that drive the IDMY price up are 1) shipping (~35% selling price); 2) MY platform fee (~18% selling price)

2. **SIP controllable markup** is marketing markup, including 1) 1% in item rebate/voucher which is mainly used in campaign days as requested by platform; 2) 5% in ads traffic boost (to be assessed in this section)

3. **Only performing (i.e. ADO generating) SKUs have marketing markup**; Non-performing SKUs (those generate no orders, 70-80% of all SIP SKUs) had all marketing cost markups removed, maintaining the lowest possible price to maximize order generation

Ads markup - context: Majority of SIP shops are in the ADO tier 0-10 which is equivalent to CNCB LT sellers in each local market; they contribute to 51-95% SIP ADO in each import market

Tables: SIP seller profile comparison vs CNCB MP sellers

Seller count	MY		SG		PH		TH		Total	
ADO Tier	CNCB	SIP	CNCB	SIP	CNCB	SIP	CNCB	SIP	CNCB	SIP
0 (CNCB LT)	32%	77%	33%	79%	36%	89%	33%	89%	34%	83%
>0-10 (CNCB LT)	63%	23%	65%	21%	54%	11%	61%	11%	61%	17%
>10-20	2%	0%	1%	0%	3%	0%	3%	0%	2%	0%
>20-50	2%	0%	1%	0%	3%	0%	2%	0%	2%	0%
>50-100	1%	0%	0%	0%	2%	0%	1%	0%	1%	0%
>100	0%	0%	0%	0%	1%	0%	1%	0%	1%	0%
Total # shops	*To be added*									

ADO contribution	MY		SG		PH		TH		Total	
ADO Tier	CNCB	Local SIP	CNCB	Local SIP	CNCB	Local SIP	CNCB	Local SIP	CNCB	Local SIP
0-10 (CNCB LT)	22%	63%	42%	91%	8%	51%	14%	95%	15%	65%
>10-20	12%	13%	16%	4%	6%	14%	9%	4%	9%	12%
>20-50	21%	14%	20%	5%	13%	17%	18%	1%	16%	13%
>50-100	19%	7%	9%	0%	26%	8%	23%	0%	23%	6%
>100	26%	2%	12%	0%	46%	11%	35%	0%	37%	4%
ADO per shop	*To be added*									

Highlight: SIP seller profile distribution is similar to CNCB LT seller

- Similar to CNCB MP LT sellers, majority of the SIP sellers are with ADO 0-10
- These sellers also contribute to the highest share of SIP ADO coverage, ~65% across markets, with 91% in SG and 95% in TH

[Back-up] CNCB MP seller tiering criteria - ADO 0-10 (or ADG $0-$120) is considered long-tail sellers; mid-tail and long-tail cut-off based on ADG by category

Tables: CNCB MP seller tiering criteria

2. ST

Cluster	Seller Top L1 Cat	ADGMV bar
Fashion	Fashion Accessories	1200
Fashion	Women Clothes	1200
Fashion	Baby & Kids Fashion	800
Fashion	Men Clothes	700
Fashion	Bags	1000
Fashion	Watches	1000
Fashion	Shoes	900
Fashion	Muslim Fashion	500
Electronics	M&G - Mobile Phones	1500
Electronics	M&G - MACC + Others	1300
Electronics	Audio	1500
Electronics	Computers & Accessories	1000
Electronics	Home Appliances	1000
Electronics	Cameras & Drones	1000
Electronics	Gaming & Consoles	800
Lifestyle	H&L - Dinnerware	400
Lifestyle	H&L - Furniture	800
Lifestyle	H&L - Home Care Supplies	800
Lifestyle	H&L - Kitchenware	650
Lifestyle	H&L - Lighting	500
Lifestyle	H&L - Others	800
Lifestyle	Sports & Outdoors	800
Lifestyle	Stationery	750
Lifestyle	Hobbies & Collections	900
Lifestyle	Automobiles	1050
Lifestyle	Pets	382
Lifestyle	Motorcycles	650
Lifestyle	Books & Magazines	707
FMCG	Beauty	750
FMCG	Mom & Baby	479
FMCG	Health	950
FMCG	Food & Beverages	80

3. MT

ADO >	10
or	
ADGMV >	120

Ads markup - ROI: Compared to LT CNCB sellers in each import market, 1) ads CPO is consistently better, 2) ads ROI is overall on-par, and better in MY, PH and TH; 3) ads spending higher

Table: SIP ads markup amount and performance comparison vs CNCB LT sellers

	MY		SG		PH		TH		Total	
	SIP	CNCB 0-10	SIP	CNCB 0-10	SIP	CNCB 0-10	SIP	CNCB 0-10	SIP	CNCB 0-10
Ads CIR%	**4.8%**	**2.7%**	**5.4%**	**3.3%**	**3.4%**	**2.7%**	**2.3%**	**3.2%**	**4.6%**	**2.9%**
... Old SKUs	3.8%	2.1%	4.7%	2.5%	3.3%	2.2%	2.3%	2.3%	3.9%	2.1%
... New SKUs	1.0%	0.7%	0.8%	0.8%	0.2%	0.5%	0.0%	0.9%	0.7%	0.7%
Ads ROI	**6.1**	**6.1**	**3.4**	**4.9**	**9.5**	**7.1**	**5.7**	**5.0**	**5.6**	**5.7**
... Old SKUs	6.8	6.7	3.5	5.2	9.6	7.6	5.7	5.7	6.0	6.1
... New SKUs	3.5	3.9	2.5	4.0	6.8	5.0	5.2	3.2	3.3	3.9
Ads CPO	**$1.4**	**$2.5**	**$3.1**	**$4.1**	**$0.8**	**$1.6**	**$1.8**	**$2.5**	**$1.5**	**$2.4**
... Old SKUs	$1.1	$2.2	$2.9	$3.6	$0.8	$1.5	$1.8	$2.2	$1.4	$2.2
... New SKUs	$4.3	$4.0	$6.4	$7.2	$1.6	$2.0	$4.4	$3.6	$4.4	$3.6

Highlight: as compared to LT CNCB MP sellers

- Ads CPO is better consistently across import markets (overall $1.5 vs $2.4)
- Ads ROI in on par overall ($5.6 vs $5.7), better in MY, PH, TH, and worse in SG mainly due to low ABS SKUs from SIP
- Ads spending is higher but can be justified with 1) acceptable spending quality on CPO and ROI; 2) spending simulation (on next page)

Ads markup - amount: Lower ads markup will lead to lower topline and PC2; we propose to optimize pricing further based on price elasticity, to generate ads markup without hurting price competitiveness

Table: Market budget reallocation vs price competitiveness topline and PC2 impact

Metrics		Case 1	Case 2	Base case	Case 3	Case 4 (ideal)
		No ads markup; lowest price	Reduced ads; reduced price	Status quo	More ads; higher price	More ads; maintain price
Allocation	Ads CIR%	0%	3%	5%	7%	7%
	Price Change	-5%	-2%	0%	2%	0%
ADO Impact	Ads ADO Impact	-7,565	-4,599	0	2,300	2,300
	Price ADO Impact	4,233	1,882	0	-2,555	0
	Combined ADO Impact	-3,331	-2,717	0	-256	2,300
Lane Overview	IDMY Topline ADO	41,373	41,987	44,704	44,448	47,004
	IDMY Topline ADGMV	$396,971	$415,584	$451,510	$457,908	$474,737
	IDMY Daily PC2 Impact ($)	-$15,873	-$6,817	$0	$7,080	$7,556

Highlights: using IDMY as an example for reallocation consideration,

- [Case 1/2] If we lower ads markup and lower price, loss in ads ADO higher than gain in price competitive ADO, leading to overall topline and PC2 worse-off. Possible reasons are due to lack of organic traffic to large amount of LT SKUs that SIP bring to the import market
- [Case 3] If we increase price markup further to generate more ads budget, gain in ads ADO lower than loss incurred from more expensive SKUs, leading to overall topline worse-off. Possible reason is that the markup will be higher than comparable CNCB SKUs, reducing competitiveness
- [Case 4] Ideal case is to increase ads budget without hurting price competitiveness, leading to gain in both topline and PC2. We propose to price based on price elasticity to achieve this optimal situation (deep-dive on next pages)

[Back-up] One potential reason that lowering ads markup will reduce topline is because SIP SKUs do not have platform exposure support based on CSPU

Table: SIP SKUs and ADOs covered by CSPU

Market	% Model Covered by 80PR+80P60R		% Order Covered by 80PR+80P60R	
	Local SIP	CN SIP	Local SIP	CN SIP
MY	1.3%	1.4%	35%	22%
PH	1.0%	1.7%	41%	36%
TH	0.4%	0.5%	10%	19%
VN	-	2.5%	-	37%
BR	0.0%	0.2%	3%	10%
TW	0.0%	0.1%	0.2%	1.5%

Highlights:

- Currently less than 2% of SIP SKUs are covered by CSPU across local markets, representing less than 40% of SIP ADO
- Even if all of these covered SKUs are able to hit the lowest price on platform, the coverage itself is insufficient to offset the negative impact of ads removal
- As discussed with regional product team, it is possible to increase the CSPU coverage for SIP SKUs, but the initiative will not be priority for the platform considering the impact vs efforts

Price elasticity - approach: SKU new price determined by 1) flat increase for unique SKUs 2) PC2 and competitor price for SKUs require price decrease

Table: SKU price optimization approach

#	SKU Grouping		Historical Elasticity	Price Direction	New SKU Price	PC2%
Comparison>	*Price vs Competitor*	*ADO vs Competitor*	-	-	*New Price = Min [BE price, SKU target price]*	
1	Unique SKUs		Inelastic	Price increase	+5%	Improve
2	Higher Price	Higher ADO	Inelastic	Price increase	+5%	Improve
3	Higher Price	Lower ADO	Elastic	Price decrease	95% * competitor	Breakeven
4	Lower Price	Lower ADO	Elastic	Price decrease	-5%	Breakeven
5	Lower Price	Higher ADO		No change required		

Highlights

- Historical mass price adjustment observed **varying elasticity** across SKUs influenced by **assortmentment uniqueness and price competitiveness**
- **Differentiate pricing strategies** across different SKU groupings target to 1) increased savings through inelastic SKUs and use savings to 2) lower price versus competitors to achieve optimal topline without compromising PC2%
- Price adjustments every 10 days in same direction until SKUs no longer generate savings or orders

Price Elasticity - pilot outcome and projection: raise price for inelastic SKUs to generate more ads budget without hurting topline potential while removing mark-up for elastic SKUs, +3.8K ADO uplift by Dec-25

Table: Price elasticity actual trial and projected savings and topline impact by market

		Before Optimization		After Optimization		Improvement			ADO Uplift		
Type	Import Market	ADO	ADG	ADO	ADG	ADO	ADG	Daily Savings	Price Optimize	Ads Incubation	Total ADO
Actual	MY	250	4,351	276	4,185	11%	-4%	$94	26	25	52
	PH	282	4,717	359	5,253	27%	11%	$89	76	33	109
	SG	209	3,757	185	3,327	-11%	-11%	$65	-24	12	-12
	Total	**741**	**12,826**	**820**	**12,764**	**11%**	**0%**	**$249**	**79**	**70**	**149**
Projection	MY	13,343	142,833	14,044	140,102	5%	-2%	$3,154	701	1,051	1,752
	PH	7,647	75,400	8,679	79,678	14%	6%	$1,356	1,033	678	1,711
	TH	1,625	75,400	1,710	73,959	5%	-2%	$1,455	85	291	376
	Total	**22,614**	**293,633**	**24,433**	**293,739**	**8%**	**0%**	**$5,964**	**1,819**	**2,020**	**3,840**

** Excluded SG market in projection due to -ve trial results; to trial on other SG lanes before further ramp up*

Highlights

- **Optimized price strategy:** raised prices for inelastic SKUs (unique to platform) while reducing prices for elastic SKUs (to remove marketing markup).
- **Trial overview:** pilot 27K TH export SKUs in 3 markets, applying a +5% price increase to 90% of SKUs and average -12% price decrease to 10% SKUs
- **Achieved results:** ADO grew by 11% with additional daily savings of $249 through higher contributions from price increases
- **Planned ramp-up:** target to cover 25% SKUs on optimization with ADO uplift of 1.8K and expected daily savings of $6.0K enabling additional 2K ADO through reinvestment in new SKU ads

Private & Confidential

SIP Monthly Meeting

13 May 2025

Follow-up items from Apr-25 monthly meeting

#	Topic	Action item	PIC	Status
1	TB overall	Update the sizing impact of 聚水潭's initiative - e.g. how many sellers, ADO, SKU# uplift	Shuning / Nicholas	Today's deep-dive
2	CNSIP	Provide the SKU funnel view of CNSIP, to confirm the main growth constraint of existing CNSIP model	Qiang Wei / Zhang Yu	Update in the next-monthly meeting
3	SIP CS	Proceed with relocation planning to PH, to take reference of CB SCS pace and ensure user experience	Qiang Wei	In progress, on track to relocate by Sep-25

Agenda - SIP monthly meeting (May-25)

1. **Business performance**
2. **Counter Taobao**
   a. Counter Taobao fashion
   b. Counter Taobao furniture
   c. Counter Taobao F&B
3. **Regional direct selling**
4. **Fraud update (refer to latest email update sent on 8 May)**

1. Business performance

Topline & P&L - Apr full month: Apr ADO 183k, 102% RR, %CB 110% RR; ADG $2.1M, 110% RR, %CB 114% RR; combined PC2 at SHP at $163k due to local SIP seller fraud case

Metric	BU / program	Apr 25 Full-month					Target	
		Apr Actual	Target	RR	M-1	MoM	Apr 25	May 25
ADO	**Total**	**183,144**	**179,736**	**102%**	**212,690**	**-14%**	**179,736**	**193,629**
	Local SIP	115,972	119,583	97%	147,497	-21%	119,583	128,639
	CN SIP (excl. TB program)	22,690	20,697	110%	21,180	7%	20,697	23,681
	Direct Selling	6,797	6,942	98%	6,705	1%	6,942	6,846
	WH cross-selling	5,527	4,668	118%	5,146	7%	4,668	5,123
	Taobao program	32,157	27,846	115%	32,162	0%	27,846	29,340
ADO as % of CB	**Total**	**6.9%**	**6.3%**	**110%**	**7.5%**	**-0.5%**	**6.3%**	**6.9%**
ADG	**Total**	**$2,149,507**	**$1,962,136**	**110%**	**$2,355,890**	**-9%**	**$1,962,136**	**$2,158,384**
	Local SIP	$1,404,424	$1,299,188	108%	$1,600,830	-12%	$1,299,188	$1,445,874
	CN SIP (excl. TB program)	$175,928	$164,124	107%	$170,127	3%	$164,124	$184,473
	Direct Selling	$87,216	$93,673	93%	$91,992	-5%	$93,673	$91,931
	WH cross-selling	$33,042	$29,758	111%	$32,351	2%	$29,758	$37,764
	Taobao program	$448,897	$375,393	120%	$460,590	-3%	$375,393	$398,342
ADG as % of CB	**Total**	**10.1%**	**8.8%**	**114%**	**10.7%**	**-0.6%**	**8.8%**	**10.0%**
PC2 (USD) - OKR metrics	**Total**	**-$2,014,783**	**-$195,711**	**-$1,819,072**	**$198,353**	**-$2,213,136**	**-$195,711**	**-$541,849**
	Local SIP (P+standalone)	-$2,028,424	-$199,729	-1,828,695	$110,335	-2,138,759	-$199,729	-560,474
	CN SIP (standalone)	$13,641	$4,018	9,623.0	$88,018	-74,377.0	$4,018	$18,625
PC2 (USD) - combined Shopee view	**Total (SIP only)**	**$162,927**	**$2,509,509**	**-$2,346,582**	**$2,521,939**	**-$2,359,012**	**$2,509,509**	**$1,791,067**
	Local SIP (P+standalone+A)	-$164,206	$2,221,421	-$2,385,627	$2,210,736	-$2,374,942	$2,221,421	$1,465,861
	CN SIP (standalone+A)	$327,133	$288,088	$39,045	$311,203	$15,930	$288,088	$325,206
	Taobao program	$16,479		/	$11,369	$5,110		

Local SIP Apr'25 P&L's SGTH tax pass-back uses Mar'25 value due to vendor cost data unavailable

[Topline]

Local SIP: Apr 116k ADO, 97% RR, CB% -0.80pp MoM; topline hit by fraud case and COD closure; recovery on-track with the phased COD reopen, expect to hit target in May

CN SIP: Apr 23k ADO, 110% RR, CB% +0.11pp MoM; driven by CNSIP optimization initiatives especially the markup reduction

Direct selling (MYSG): **Apr 7k ADO, 98% RR, CB% +0.02pp MoM;** SKU count +8% MoM; slight under-performance due to sellers on vacation during Raya period

WH cross-selling: **Apr 6k ADO, 118% RR, CB% +0.03pp MoM**; mainly driven by MYSG CB Choice LFF out-performance (201% RR) due to more LFF-eligible SKUs with positive PC3

TB program: **Apr 32k ADO, 115% RR; CB% +0.2pp MoM**; driven by increased investment (from both seller + platform), and new SKU push

[P&L]

Combined PC2 to SHP: $163k, $2.3M under-performance due to loss from local SIP seller fraud case whereby

- $1.8M from seller P&L loss
- $560k from MP PC2 gap va target, mainly due to 1) topline missing target (on net order basis ADG at 99% run-rate); 2) higher than expected platform CIR%

Topline & P&L - May MTD: May proj ADO 208k, 107% RR, %CB 124% RR; ADG $2.4M, 110% RR, %CB 106% RR; combined PC2 at SHP level proj at $2.2M

Metric	BU / program	Current month (May 25)						Target	
		MTD	Projection	Target	RR (proj)	M-1	MoM (proj)	May 25	Jun 25
ADO	**Total**	**223,966**	**210,586**	**193,234**	**109%**	**183,041**	**15.0%**	**193,234**	**218,148**
	Local SIP	138,365	129,765	128,639	101%	115,972	11.9%	128,639	147,205
	CN SIP (excl. TB program)	27,859	23,884	23,681	101%	22,690	5.3%	23,681	24,088
	Direct Selling	7,947	7,385	6,846	108%	6,797	8.7%	6,846	8,456
	LFF cross-selling	6,584	6,341	4,728	134%	5,527	14.7%	4,728	6,845
	Taobao program	43,211	43,211	29,340	147%	32,055	34.8%	29,340	31,554
ADO as % of CB	**Total**	**7.2%**	**7.4%**	**5.8%**	**126%**	**6.9%**	**0.4%**	**6.9%**	**7.1%**
ADG	**Total**	**2,571,492**	**2,423,298**	**2,158,384**	**112%**	**2,148,413**	**12.8%**	**2,158,384**	**2,480,958**
	Local SIP	1,574,319	1,478,364	1,445,874	102%	1,404,424	5.3%	1,445,874	1,664,012
	CN SIP (excl. TB program)	225,654	195,635	184,473	106%	175,928	11.2%	184,473	217,631
	Direct Selling	112,123	91,931	91,931	100%	87,216	5.4%	91,931	113,937
	LFF cross-selling	39,793	37,764	37,764	100%	33,042	14.3%	37,764	58,139
	Taobao program	619,604	619,604	398,342	156%	447,803	38.4%	398,342	427,240
ADG as % of CB	**Total**	**10.0%**	**10.8%**	**10.0%**	**108%**	**10.1%**	**0.7%**	**10.0%**	**10.5%**
PC2 (USD) - OKR metrics	**Total**	**$190,932**	**-$197,301**	**-$541,849**	**$344,548**	**-$2,014,783**	**$1,817,482**	**-$541,849**	**-$194,130**
	Local SIP (P+standalone)	$262,203	-$215,926	-$560,474	$344,548	-$2,028,424	$1,812,498	-$560,474	-$214,395
	CN SIP (standalone)	-$71,271	$18,625	$18,625	$0	$13,641	$4,984	$18,625	$20,265
PC2 (USD) - combined Shopee view	**Total (SIP only)**	**$652,466**	**$2,199,700**	**$1,791,067**	**$408,633**	**$162,927**	**$2,036,773**	**$1,791,067**	**$2,444,391**
	Local SIP (P+standalone+A)	$622,714	$1,855,943	$1,465,861	$390,082	-$164,206	$2,020,149	$1,465,861	$2,062,439
	CN SIP (standalone+A)	$29,752	$343,756	$325,206	$18,550	$327,133	$16,623	$325,206	$381,952
	Taobao program	$8,123	/	/	/	$7,686			

Local SIP May MTD P&L uses estimated P BPSF figures due to new BI table containing accurate BPSF data unavailable

[Topline]

Local SIP: May proj 130k ADO, 101% RR; topline recovery with IDSIP COD reopen, expected to outperform target if no further scale-up of fraud situation

CN SIP: May proj 24k ADO, 101% RR

Direct: May proj 7k ADO, 108% RR global SC whitelisting for existing 6.5k MYSG shops is completed; on track to complete shop opening for migrated and newly acquired sellers by end-May

WH cross-selling: May proj 6k ADO, 134% RR; mainly driven by MYSG CB Choice LFF out-performance (proj 172% RR) due to more LFF-eligible SKUs with positive PC3

TB program: Apr MTD ADO 43.2k, 147% RR; overperformance driven by 5.5 push and platform focused exposures & PRMs + continued seller investment

[P&L]

Combined PC2 to SHP: May proj $2.2M combined P&L, $0.4M out-performance mainly driven by local SIP topline and P&L recovery after Apr seller fraud case

BWT - May MTD: Most of lanes on target with VN Export experienced fluctuation due to export office closure for public holidays, expect LT to recover after 13th May

BU	Lane	May					Target	
		Full Month	Target	RR	M-1	MoM	May	Jun
Local SIP / Direct (Top 10 lanes)	IDMY	5.4	6.2	114%	6.4	-1.0	6.2	5.9
	MYSG	3.4	3.5	103%	3.6	-0.2	3.5	3.4
	IDPH	5.7	6.5	113%	6.4	-0.7	6.5	6.5
	VNMY	8.0	7.9	99%	7.7	0.3	7.9	7.5
	IDSG	4.6	4.9	106%	4.9	-0.2	4.9	4.9
	VNPH	7.7	7.2	93%	6.9	0.8	7.2	7.2
	MYPH	6.3	7.2	115%	6.9	-0.6	7.2	7.2
	MYTH	7.3	7.4	102%	8.4	-1.2	7.4	7.4
	VNSG	6.8	6.3	92%	5.8	1.0	6.3	6.3
	VNTH	6.9	7.2	104%	6.2	0.7	7.2	7.2
LFF cross-selling	MYSG	2.5	2.5	100%	2.3	0.2	2.5	2.4

[May performance]

- **VN Export lower than target due to** export custom office closure from 30th Apr to 4th May for public holidays. Expect LT for orders delivered from 5th to 9th May to be affected, but will recover after 13th May

[May focus]

- **May will focus LT reduction in FM and LH portion**:
  - IDSIP FM: all FM hubs have started presorting for SIP to reduce 4-6hrs additional sorting time from 5th May onwards. To monitor the performance in May
  - MYSIP FM: continue to push MY SPX to perform pre-sorting for SIP in JHB FM Hubs to reduce sorting time in SOCs
  - VN/PH/MY/TW LH: increase pickup frequency to at least 5x per week for all routes to reduce waiting times

2. Counter Taobao

[SKU Supply Fashion - Acquisition through ERP] Expected uplift of between 1.1-3.3x on top of existing ADO, and SKU# 1.6-4.9x from integration with both ERPs

Table: Expected uplift from 2 ERPs 聚水潭 & 旺店通 (for all Fashion, Furniture, F&B)

Scenario	Conservative	Aggressive
Total ADO after uplift	**72,930**	**148,783**
... Apr MTD ADO	35,004	35,004
... Uplift	**37,926**	**113,779**
... Uplift (%)	108%	325%
Total SKU # after uplift	**2,122,018**	**4,739,718**
... Apr MTD SKU #	808,318	808,318
... Uplift	**1,313,700**	**3,931,400**
... Uplift (%)	163%	486%

Assumptions:
1. Seller pitching success 15-30% & SKU migration 48-72% for each scenario respectively
2. SKU effi assumes current SKU effi for all SKUs
3. 聚水潭's SKU# is calculated based on CN's estimations of 聚水潭 vs 旺店通 by category

Highlights:
1. **ADO expected to increase 1.1x - 3.3x in each scenario respectively:** ADO expected to increase between 37k-113k
2. **SKU# expected to increase 1.6 - 4.9x in each scenario respectively:** SKU# expected to increase between 0.88 - 2.6 mil

** Not factored into targets yet (until integration is complete)*

2a. Counter Taobao Fashion

[TB Fashion Program View] May MTD ADO 40.9k (+37% MoM, %CB +0.8pp); ADG $369k (+47%, %CB +2.0pp); SKU# 815k (+51%); PC2 1.4%

Metric	Sub-Metric	All Mkts	SG	MY	TW	PH	TH	VN
ADO	MTD	**40,938**	830	5,594	386	12,585	11,877	9,667
	... Existing: *SKUs that existed when program started*	**32,334**	684	4,534	255	10,343	9,613	6,904
	... Migrated/Newly Uploaded: *SKUs that were migrated from another mkt / newly uploaded*	**7,849**	132	849	111	2,242	1,796	2,719
	... Acquired: SKUs that are from sellers newly onboarded to SHP	**756**	14	210	20	To start	467	45
	... Sourcing: SKUs that are newly uploaded (based on TB top SKU wishlist)	**To start**	To start	To start	To start	To start	To start	To start
	M-1	**29,836**	749	4,271	250	11,087	7,337	6,141
	MoM%	**37%**	11%	31%	54%	14%	62%	57%
	% of CB Fashion	**5.2%**	2.7%	4.1%	1.7%	5.7%	9.0%	3.9%
	% MoM	**+0.8pp**	+0.5pp	+0.2pp	+0.5pp	+0.1pp	+2.8p	+0.9pp
ADG	MTD	**$469,023**	$13,687	$63,920	$8,002	$167,076	$133,610	$82,727
	MoM%	**47%**	32%	35%	43%	31%	87%	45%
	% of CB Fashion	**9.3%**	3.7%	5.7%	1.4%	14.3%	15.3%	8.8%
	% MoM	**+2.0pp**	+1.0pp	+0.9pp	+0.3pp	+1.9pp	+5.0pp	2.0pp
ABS	MTD	**$11**	$16	$11	$21	$13	$11	$9
	MoM%	**6.9%**	18.8%	3.1%	-7.0%	15.0%	15.3%	-7.9%
PC2	MTD	**1.4%**	4.6%	1.5%	8.6%	-0.2%	1.1%	3.7%
	MoM%	**-1.0pp**	-2.8pp	+1.3pp	-2.0pp	-1.7pp	-1.3pp	-0.7pp
SKU #	MTD	**815,282**	90,729	106,127	70,348	170,360	207,676	170,041
	... Existing	**421,293**	34,698	52,242	18,953	117,619	99,394	98,388
	... Migrated/Newly Uploaded	**368,664**	52,774	47,362	46,476	52,741	100,608	68,702
	... Acquired	**25,325**	3,257	6,524	4,920	To start	7,674	2,950
	... Sourcing	**To start**	To start	To start	To start	To start	To start	To start
	MoM%	**51%**	46%	43%	62%	8%	97%	75%

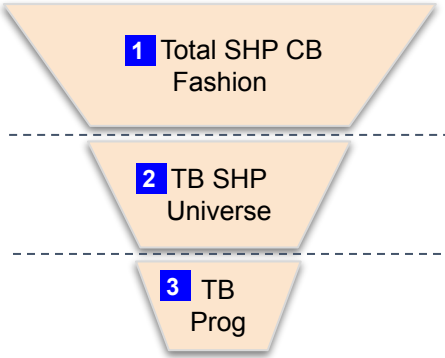
Highlights *(data range 1-7 May)*:

- **Program ADO 40.9k (MoM +37%)**; grew +0.8pp vs CB to 5.2% - growth across all mkts since Jan in both absolute and %CB
- **Program ADG $469k (MoM +49%)**; ABS $11 USD (+7% MoM) - Checking with all mkts to push higher ABS SKUs
- **SKU# 815k (+51% MoM)**; 45% of SKUs (368k) are new SKUs from migration / new uploaded since program started with 7.9k ADO
- **PC2 1.4% (-1.0 pp MoM);** Checking with SG to ramp down PC2 more aggressively to drive growth. For MY, since PC2 is close to break-even, to monitor

[SHP Fashion vs TBG view] Universe view of TB sellers (#2) and matched TB SKUs May MTD ADO 439k, ADG $2.39 mil; we will track this view but focus will still on program view (#3)

Funnel View of SHP vs TB:

Comparison Level:



Description:

This view is shown during slides to CF and TP
- This view compares overall SHP Fashion CB category by mkt vs TBG Fashion category

This view has never been shown before today
- This view shows all identified TB sellers + SKUs currently on SHP platform

This view is what we've been presenting since the start
- This view shows all sellers + SKUs that have joined our program (with investment + incentives)
- This has also been / will be our focus to push

Highlights:

1. Referring to table below, SHP TB Universe ADO (View #2) has **439k ADO and 2.39 mil ADG (USD)** from identified sellers + SKUs
   - SG/TW lagging in ADO; other mkts are ahead

2 SHP TB Universe vs TBG Comparison (Fashion)

	SHP TB vs TBG	All mkts			SG			MY			TW			TH			VN			PH		
		SHP	TBG	Mul-tiple	SHP	TBG	Mul-tiple	SHP	TBG	Mul-tiple	SHP TB	TBG	Mul-tiple	SHP	TBG	Mul-tiple	SHP	TBG	Mul-tiple	SHP	TBG	Mul-tiple
View #1	ADO'k	775	167	4.6	36	11	3.4	133	47	2.8	22	48	0.5	127	21	6.0	238	27	8.7	220	12	17.7
View #1	ADG'k (USD)	4,929	6,047	0.8	423	460	0.9	1,095	1,646	0.7	532	2,320	0.2	814	635	1.3	912	635	1.4	1,153	351	3.3
View #2	ADO'k	439	167	2.6	7	11	0.7	48	47	1.0	23	48	0.5	90	21	4.3	145	27	5.3	125	12	10.1
View #2	ADG'k (USD)	2,391	6,047	0.4	74	460	0.2	309	1,646	0.2	316	2,320	0.1	485	635	0.8	616	635	1.0	591	351	1.7
View #3	ADO'k	41	167	0.2	1	11	0.1	6	47	0.1	0.4	48	0.0	12	21	0.6	10	27	0.4	13	12	1.0
View #3	ADG'k (USD)	469	6,047	0.1	14	460	0.0	64	1,646	0.0	8	2,320	0.0	133	635	0.2	83	635	0.1	167	351	0.5

[Overall SKU Supply Fashion] By end-Dec, we plan to increase existing SKU pool by +591k (+91%); bulk of increase will come from acquisition (+113k) and sourcing (+478k)

Table: Current SKU # vs Dec SKU Targets

May vs Dec SKU #	All Mkts	SG	MY	TH	VN	TW
May SKU # (Current)	**644,921**	**90,729**	**106,127**	**207,676**	**170,041**	**70,348**
... Migration / Newly uploaded	**315,922**	52,774	47,362	100,608	68,702	46,476
... Acquisition	25,325	3,257	6,524	7,674	2,950	4,920
... Sourcing	0	To start	To start	To start	To start	To start
... Existed before program start	303,675	34,698	52,242	99,394	98,388	18,953
Dec target SKU #	**1,236,322**	**208,780**	**218,616**	**325,623**	**289,621**	**193,681**
... Migration / Newly uploaded	347,514	58,051	52,098	110,669	75,572	51,124
... Acquisition	138,000	24,000	24,000	30,000	30,000	30,000
... Sourcing **	477,500	95,500	95,500	95,500	95,500	95,500
..... from sellers	425,000	85,000	85,000	85,000	85,000	85,000
..... from SCS	35,000	7,000	7,000	7,000	7,000	7,000
..... from Lovito	17,500	3,500	3,500	3,500	3,500	3,500
... Existed before program start	273,308	31,228	47,018	89,455	88,549	17,058

To deep dive in next slides

*** Sourcing targets TBC*

Highlight:

- May MTD SKU# 644k; target to reach 1.24 mil by EOY (+591k). Key initiatives to drive up SKU # include acquisition (+113k) and sourcing (+478k)

[SKU Supply Fashion - Acquisition through manual pitching] In past 2 mths, we have acquired 65 sellers and pushed markets to accept them into TB program; for those that mkt did not select, to pitch via CNSIP

Table 1: Acquisition Funnel

Status	Sellers #
Total pool	2,532
1 .. Acquired	65
... To be pitched	2,109
... Rejected	358

Table 2: Acquisition status split by market

Status	SG		MY		TH		VN		TW	
	Seller #	SKU #	Seller #	SKU #	Seller #	SKU #	Seller #	SKU #	Seller #	SKU #
Acquired #	65	2,021	65	10,280	65	17,332	65	15,740	59	4,475
1 ... Selected by mkts	40	1,738	41	10,280	46	12,502	48	2,702	45	4,475
..... Accepted	24	1,738	28	10,280	32	12,502	37	2,702	19	4,475
..... Rejected	12	-	11	-	9	-	5	-	22	-
..... Pending	4	-	2	-	5	-	6	-	4	-
2 ... Not selected by mkts	25	283	24	0	19	4,830	17	13,038	14	0

Highlights:

1. Total of 65 sellers acquired in the past two months; of which, markets selected 40-48 sellers to pitch to
2. Sellers not selected by markets are due to market criteria (more details in next slide), and will be pitched to join CNSIP this month (ETA start pitch 15 May)

[SKU Supply Fashion - Sourcing] Overall target to source 95.5k SKUs by EOY; sourcing to begin in mid-May

Table: SKU # Targets for each BU (To be confirmed)

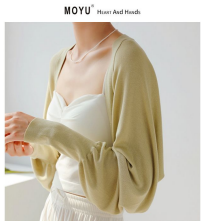
Targets split by BU	Jun'25	Jul'25	Aug'25	Sep'25	Oct'25	Nov'25	Dec'25	Total
Total	11,500	14,000	14,000	14,000	14,000	14,000	14,000	**95,500**
... CNCB	10,000	12,500	12,500	12,500	12,500	12,500	12,500	**85,000**
... Lovito	1,000	1,000	1,000	1,000	1,000	1,000	1,000	**7,000**
... SCS	500	500	500	500	500	500	500	**3,500**

Highlights:

1. Overall target to source **95.5k** SKUs across all BU, by Dec'25
    a. CNCB to be the main contributor, target 85k SKUs, Lovito target 7k SKUs, SCS 3.5k
2. Regional sourcing wishlist compiled based on Taobao top SKUs crawled list - examples of assortment shown below

Examples of types of SKUs to source (TB items that have no matches on SHP):

Women tops: *Examples such as outerwears and vests*



Men pants: *Examples such as denim jeans and vests*

Kids clothes: *Examples such as girl tops and bermuda jeans*

[Overview of initiatives - Fashion]

Domain	#	Initiative	Description	Status	ETA
Grow SKU count	1	Self-Run Seller SKU cross-migration/new upload	Sellers to migrate/newly add SKUs via self-listing or migration tool	368k SKUs are added to local markets since program start May total SKU# RR: SG: 136% RR, MY: 147% RR, TH: 158% RR, VN: 168% RR, TW: 198% RR, due to new sellers identified, to revise target when stabilized. 30k SKUs pending migration, target completion by Jun'25	Jun'25
	2	Acquire TB sellers (top + non-top)	To acquire sellers from top 300 TB wishlist (not on SHP)	Apr batch: 4-11 successfully acquired sellers across all markets will be added to program by 12 May, after pitching concludes Sellers that rejected and not selected by markets will be invited to join via CNSIP [ETA: 15 May]	Mid May
	3	Acquire new TB sellers (TB ERP)	To evaluate feasibility of acquiring sellers / SKUs via CN's top ERP 聚水潭/旺店通	Target to integrate with 聚水潭 and 旺店通 by end-May; 聚水潭 to give us TB SKUs and 旺店通 to provide PDD SKUs	Apr-May
	4	Crawling from LZD/TB	Crawl top fashion TB SKUs from LZD/TB	Crawling and matching completed - 47.8k SKUs identified to be unmatched on SHP across platform	Mid May
	5	Source SKUs	Develop a regional wishlist for sellers, LVT and SCS to source	Targets and incentive packages delayed to be Checking by next week due to wishlist recrawl; Sourcing to start the week after	Apr-May
	6	Identify more existing TB SHP sellers	Allow sellers on SHP to self reach out to join TB programme if they are TB sellers with proof provided	Total of 91 sellers identified, markets completed review. 1. [Sellers existing in market] Added into program from 1st May 2. [Sellers not in market] Pitching in progress, ETA to conclude by 9 May Next steps: A second round of broadcasting to identify new batch of sellers will be ready by 13 May	Apr-May
Improve SKU effi	7	AMS + Livestream (Marketing Booster)	Marketing booster package set-up for SG/MY, comprising of livestream + AMS	Self-Run/CNSIP: SG/MY LS performance poor, decision to pause for both markets	Apr
	8	Seller Investment	Seller to commit to all criterias set by markets to receive SHP's commitment	% of shops that fulfilled all commitments: SG 0%, MY 0%, TH 1%, VN 2% % of shops that fully expensed free ads credit: SG 19%, MY 34%	End May

2b. Counter Taobao Furniture

[TB Furniture Program View] May MTD ADO 3.2k (+14% MoM, %CB +0.5pp); ADG 168k (+25% MoM, %CB +0.7pp); SKU# 209k (-4% MoM); PC2 5.6% (-1.3pp MoM)

Metric	Sub-Metric	All Mkts	SG	MY	TH	VN	PH
ADO	MTD	**3,191**	576	685	1,137	30	761
	... Existing: *SKUs that existed when program started*	**2,732**	377	573	1,096	30	761
	... Migrated/Newly Uploaded: *SKUs that were migrated from another mkt / newly uploaded*	**451**	197	110	37	0	No program
	... Acquired: SKUs that are from sellers newly onboarded to SHP	**6**	1	1	To start	To start	No program
	... Sourcing: SKUs that are newly uploaded (based on TB top SKU wishlist)	**2**	1	1	To start	To start	No program
	M-1	**2,792**	585	703	779	33	693
	MoM%	**14%**	-2%	-3%	46%	-7%	10%
	% of CB Furniture	**18.9%**	23.5%	17.2%	33.8%	2.3%	13.2%
	% MoM	**+0.5pp**	-1.8pp	-1.3pp	+3.5pp	-0.3pp	-0.1pp
ADG	MTD	**$167,649**	$46,754	$28,429	$39,575	$2,333	$50,557
	MoM%	**25%**	19%	10%	53%	-8%	24%
	% of CB Fashion	**39.2%**	45.4%	26.3%	50.2%	16.7%	40.9%
	% MoM	**+0.7pp**	+0.3pp	-2.5pp	+2.2pp	-1.2pp	+1.6pp
ABS	MTD	**$53**	$81	$42	$35	$77	$66
	MoM%	**9.4%**	20.7%	13.3%	4.5%	-1.2%	13.3%
PC2	MTD	**5.6%**	9.3%	11.3%	1.4%	2.9%	1.7%
	MoM%	**-1.3pp**	-3.0pp	-0.4pp	-1.2pp	+0.1pp	+0.2pp
SKU #	MTD	**209,734**	141,337	56,964	7,193	113	2,954
	... Existing	**80,237**	67,858	3,562	4,386	108	No program
	... Migrated / Newly Uploaded	**124,279**	68,492	52,018	2,807	5	No program
	... Acquired	**557**	1,494	1,116	To start	To start	No program
	... Sourcing	**4,661**	3,493	268	To start	To start	No program
	MoM%	**-4%**	2%	-15%	5%	-1%	13%

Highlights *(data range 1-7 May)*:

- **Program ADO 3.2k (MoM +14%, %CB +0.5pp)**; main growth from TH due to platform push. SG/MY decline due to less platform push / seller investment
- **Program ADG $168k (MoM +25%, %CB +0.7pp)**; ABS $53 USD (+9.4% MoM) - push toward higher priced assortment during mega spikes
- **SKU# 209k (-4% MoM)**; all mkts SKU # healthy except MY (drop due to top GGP delisting ~10k SKUs)
- **PC2 5.6% (-1.3 pp MoM);** Checking with SG/MY their plan did not work for Apr. To re-try push with installation waiver, and co-share vouchers (exact % reduction TBC by local)

[Furniture SHP vs TBG View] Overall TB sellers and matched TB SKUs May MTD ADO 21k, ADG $531k; SHP lagging in SG/MY

SHP TB Universe vs TBG across all mkts (Furniture):

	SHP TB vs TBG	All mkts			SG			MY			TH			VN			PH		
		SHP	TBG	Mul-tiple	SHP	TBG	Mul-tiple	SHP	TBG	Mul-tiple	SHP	TBG	Mul-tiple	SHP	TBG	Mul-tiple	SHP	TBG	Mul-tiple
View #1	ADO'k	17	15	1.1	2.4	2.5	1.0	3.9	5.3	0.7	3.3	2.5	1.3	1.3	2.3	0.6	5.7	1.9	3.0
	ADG'k (USD)	417	499	0.8	100	116	0.9	105	214	0.5	77	73	1.1	14	46	0.3	121	50	2.4
View #2	ADO'k	20	15	1.4	0.8	2.5	0.3	2.7	5.3	0.5	7.3	2.5	2.9	4	2	1.7	5.4	1.9	2.8
	ADG'k (USD)	497	499	1.0	53	116	0.5	85	214	0.4	153	73	2.1	77	46	1.7	130	50	2.6
View #3	ADO'k	3.1	15	0.2	0.6	2.5	0.2	0.7	5.3	0.1	1.1	3	0.4	0.03	2	0.0	0.7	1.9	0.4
	ADG'k (USD)	164	499	0.3	47	116	0.4	28	214	0.1	38	73	0.5	2	46	0.0	49	50	1.0

Highlights

1. SHP TB Universe ADO (View #2) has **21k ADO and $531k ADG (USD)** from identified sellers + SKUs
2. Lagging mkts are SG/MY, whereas TH/VN/PH are ahead

[Overall SKU Supply Furniture] By end-Dec, we plan to increase existing SKU pool by 65k (+32%%); bulk of SKUs will come from migration (+41k) and sourcing (+25k)

Table: Current SKU # vs Dec SKU Targets

May vs Dec SKU #	All Mkts	SG	MY	TH	VN
Current SKU #	**205,607**	**141,337**	**56,964**	**7,193**	**113**
... Migration / Newly uploaded	**123,322**	68,492	52,018	2,807	5
... Acquisition	**2,610**	1,494	1,116	To start	To start
... Sourcing	**3,761**	3,493	268	To start	To start
... Existed before program start	**75,914**	67,858	3,562	4,386	108
Dec target SKU #	**270,952**	**143,854**	**120,044**	**7,054**	**To include CNLS**
... Migration / Newly uploaded	**164,027**	71,582	89,338	3,107	To include CNLS
... Acquisition	**9,700**	5,200	4,500	To start	To include CNLS
... Sourcing **	**29,000**	6,000	23,000	To start	To start
... Existed before program start	**68,225**	61,072	3,206	3,947	To include CNLS

To deep dive in next slides

Highlights:

- May MTD SKU# 206k; target to reach 272k mil by EOY (+67kk). Key initiatives to drive up SKU # include migration (+41k) and sourcing (+25k)

[SKU Supply Furniture - Acquisition] From March till now, we have acquired 10 sellers with 1.1k-1.5k SKUs from top TB seller wishlist; 4 of them have uploaded >100 SKUs and ready for markets to push

Table: TB Top 500 Acquired Sellers:

#	TB Shop Name	SG		MY	
		Shop #	SKU #	Shop #	SKU #
1	洞窝家空间官方旗舰店	2	53	2	24
2	蓝盒子旗舰店	1	0	0	0
3	oley欧朗家具旗舰店	3	98	3	29
4	sihoo西昊旗舰店	2	0	1	0
5	三强家具旗舰店*	1	1,042	1	951
6	浪森旗舰店	3	180	3	9
7	浪卡旗舰店	1	118	1	100
8	幻狐旗舰店	0	0	0	0
9	瑶乾旗舰店	1	3	1	3
10	dreamflying旗舰店	0	0	0	0
	Total	**14**	**1,494**	**12**	**1,116**

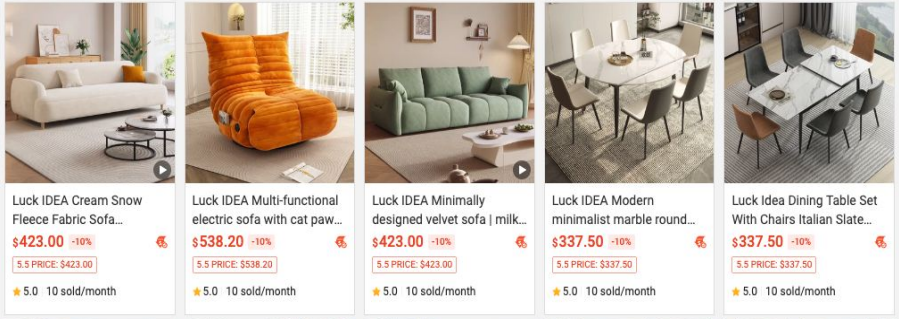
Highlights

- Total of 10 sellers have been acquired from the TB Top 500 sellers in the past 2 months; with a total of 1.5k and 1.1k SKUs for SG/MY respectively
- Assortment from these sellers are what local mkts are looking to push e.g. sofas, bed frames, dining tables, etc (more details in next slide)

[Backup - Newly Acquired Sellers Assortment]

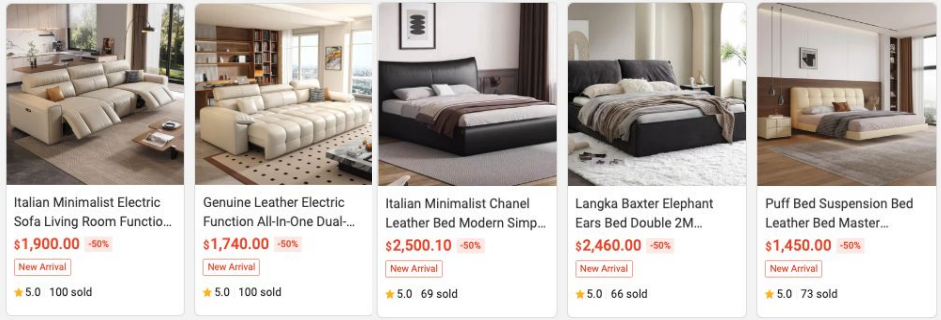
Oley欧朗家具旗舰店:

Assortment mainly focused on sofas and dining tables



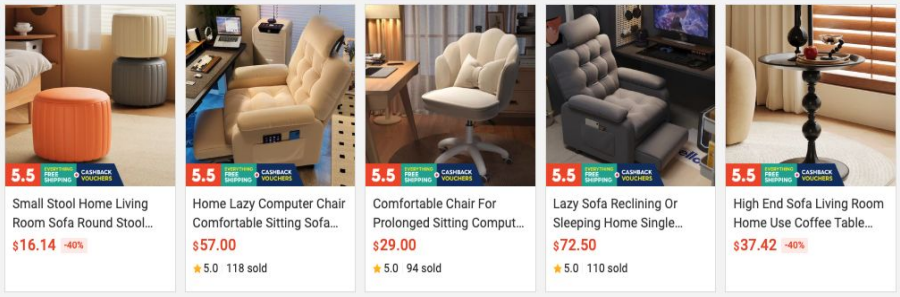
浪卡旗舰店:

Assortment mainly focused on bulky furniture - sofas and bed frames



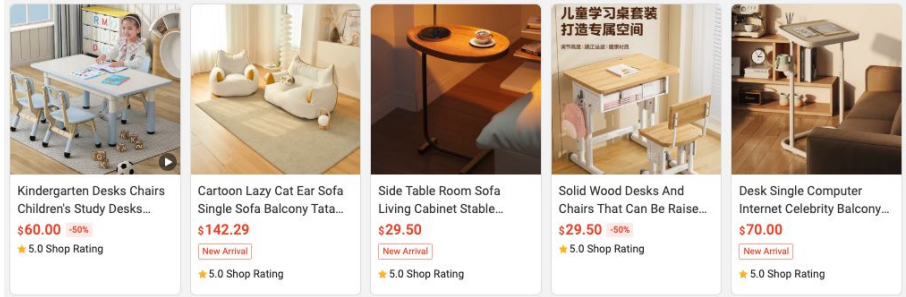
三强家具旗舰店:

Assortment mainly focused on single seat sofa/chairs and desks



浪森旗舰店:

Assortment mainly focused on children desks, coffee tables and chairs



[SKU Supply Furniture - Sourcing] SG completed 6k sourcing target in Mar'25; MY SKU target expanded from 0.4k to 23k and to be completed by Jun

Market	SKU # (target vs sourced)	Feb	Mar	Apr	May	Jun
MY	**Overall SKU # Target**	320	630	1,000	11,500	23,000
	...Top GGPs	200	300	400	11,706	23,000
	...Other GGPs	120	330	600	0	0
	Overall Sourced	243	412	412	Ongoing	Ongoing
	...Top GGPs	208	284	284	-	-
	...Other GGPs	35	128	128	-	-
	Achieved RR	76%	65%	41%	-%	-%
SG	**Overall SKU # Target**	6,000	6,000	6,000	-	-
	...Top GGPs	6,000	6,000	6,000	-	-
	...Other GGPs	0	0	-	-	-
	Overall Sourced	5,321	6,225	6,286	Completed	Completed
	...Top GGPs	5,321	6,225	6,286	-	-
	...Other GGPs	0	0	0	-	-
	Achieved RR	89%	104%	105%	-	-

Highlights

1. **MY:** Sourcing SKU # target increased from initial 0.4k to 23k; Top GGP 润泽优 will be the key seller to complete remaining sourcing targets by June
2. **SG:** Sourcing SKU # target of 6k completed in Mar; Push plan includes increased exposure on microsites and campaign participations

[SLS Bulky Channel] Bulky Channel to start from TH, to launch in mid-May; PH and TW to follow in June

Completed | In progress | Planned, to start | Delayed

Market	Topic	#	Task	Dependency	PIC	Status	May			June				
							12 May	19 May	26 May	2 Jun	9 Jun	16 Jun	23 Jun	30 Jun
TH	Commercial	1	Provide ADO projections to SLS		Reg PMO	Completed								
		2	SLS negotiates with vendor on rates + contract	1	SLS	In Progress								
		3	Finalisation of vendor		SLS	In Progress								
	Systems	4	System set-up + go-live	3	BPM	In Progress								
PH	Commercial	5	Provide ADO projections to SLS		Reg PMO	Completed								
		6	SLS negotiates with vendor on rates + contract	5	SLS	In Progress								
		7	Finalisation of vendor		SLS	To start								
	Systems	8	System set-up + go-live	7	BPM	To start								
TW	Commercial	9	Provide ADO projections to SLS		Reg PMO	Completed								
		10	SLS negotiates with vendor on rates + contract	9	SLS	In Progress								
		11	Finalisation of vendor		SLS	To start								
	Systems	12	System set-up + go-live	11	BPM	To start								

Highlights

1. **TH:** Pending internal rate card approval, target to go live in mid-May; Working with CN to increase bulky SKU pool
2. **TW/PH:** Rate card negotiation in progress, target to go live in end-Jun

[Overview of initiatives - Furniture]

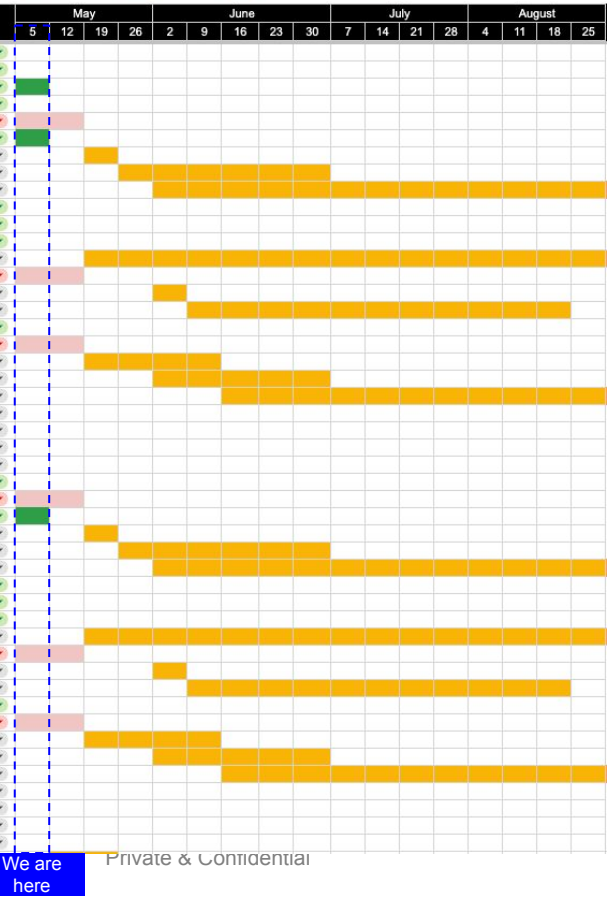
Domain	#	Initiative	Market	Status	ETA
Grow SKU count	1	**Cross-market SKU migration**	SG/MY/TH	• For SG/MY, 124k SKUs added to local mkts since start of migration (SG RR 102%, MY RR 79%). 22k more SKUs to be added by end Jun • For TH, target to migrate 300 SKUs by end May	Ongoing till EOY
	2	**Acquire TB sellers (top + non-top)**	SG/MY	• Top 500 TB Furniture sellers: 10 sellers acquired in total (6 already in program, 3 newly added in May, 1 to be added in mid-May) • Non-top TB 500: 2 seller acquired in total	May
	3	**SKU Sourcing**	SG/MY	• SG/MY: Sourced SKUs overall performance low. Next steps: ○ 1) SG increase exposure for top SKUs through microsites and DD participation 2) MY target to source 11.5k in mid May and additional 11.5k in mid June	May-Jun
	4	**CNLS**	VN/MY	• VN trial with 8 shops kick-started with vouchers disbursed from 6 May; MY only 2 shops (out of 86 accepted) due to unattractive package but these sellers will not be repitched, conclude by 9 May	VN trial: Complete by 16 May
Improve Logistics	5	**Set-up installation**	SG	• STO installation was planned for local only, will leverage local implementation to CB and launch Best installation ○ CN to identify sellers with bulky SKUs to push; Installation to launch in mid May	Mid-May
	6	**拆包 request**	SG/MY	• Due to bulky furniture items, sellers need to split their parcels e.g. one sofa split into 3-4 parcels • Workaround solution (Use add-on gifts to allow sellers to split the parcels) facing ops issue causing seller penalty points; • Mid-long term system solution: Approved as P1, pending pipeline sequence by mid-May	Mid-May
	7	**Set-up bulky channel**	TH/PH/TW	• Strict dimension/weight limit for existing channel, restricting shipment of bulky parcels • TH: Pending internal rate card approval, on track to launch mid-May • PH/TW: Vendor rate negotiation in progress, target to launch end Jun	mid-May (TH) end-Jun (PH/TW)

2c. Counter Taobao F&B

[F&B Progress] 112 existing TB SHP sellers identified to start migration push; pending incentive packages to be Checking before migration, acquisition and sourcing all kickstarts together

Completed | In progress | Planned, to start | Delayed

Market	Topic	Sub-topic	#	Task	PIC	Status
Overall planning	Project Kickstart	Identify sellers	1	Identify TB sellers existing on SHP by CN SMT	Jolene	Completed
			2	Identify SHP sellers with TB SKUs by crawling top TB	Keith	Completed
		Estimate	3	Estimate overall migration potential and ADO potential	Nicholas	Completed
SG	Commercial	Migration	4	Align potential migration pool	SG PIC (TBC)	Completed
			5	Align migration incentive plan to seller and marketing	SG PIC (TBC)	Delayed
			6	Align SKUs migration target and ADO target	SG PIC/Jolene	Completed
			7	Conduct seller pitching	Jolene	To start
			8	Support seller onboarding / SKU listing	Jolene	To start
			9	Conduct marketing push	SG PIC (TBC)	To start
		Crawling	10	Crawl TB Top SKUs	Keith	Completed
			11	Mapping to existing SHP SKUs	Keith	Completed
		Sourcing	12	Curate regional sourcing wishlist	Jason	Completed
			13	SCS/Lovito/CN Sellers/SIP to source	Max/Nicholas	To start
			14	Marketing resource alignment	Max	Delayed
			15	SKUs review	SG PIC (TBC)	To start
			16	Marketing push	SG PIC (TBC)	To start
		Acquisition	17	Identify TB Top 200 sellers	Keith	Completed
			18	Marketing resource alignment	Max	Delayed
			19	Conduct seller pitching	Jolene	To start
			20	Seller onboarding and SKU listing/migration	Jolene	To start
			21	Marketing push	SG PIC (TBC)	To start
		Crawled Matched SKUs Push	22	Selection of SKUs	SG PIC (TBC)	To start
			23	Marketing resource alignment	Max	To start
			24	SKUs migration	Jolene	To start
			25	Marketing push	SG PIC (TBC)	To start
MY	Commercial	Migration	26	Align potential migration pool	MY PIC (TBC)	Completed
			27	Align migration incentive plan to seller and marketing	MY PIC (TBC)	Delayed
			28	Align SKUs migration target and ADO target	MY PIC/Jolene	Completed
			29	Conduct seller pitching	Jolene	To start
			30	Support seller onboarding / SKU listing	Jolene	To start
			31	Conduct marketing push	MY PIC (TBC)	To start
		Crawling	32	Crawl TB Top SKUs	Keith	Completed
			33	Mapping to existing SHP SKUs	Keith	Completed
		Sourcing	34	Curate regional sourcing wishlist	Jason	Completed
			35	SCS/Lovito/CN Sellers/SIP to source	Max/Nicholas	To start
			36	Marketing resource alignment	Max	Delayed
			37	SKUs review	MY PIC (TBC)	To start
			38	Marketing push	MY PIC (TBC)	To start
		Acquisition	39	Identify TB Top 200 sellers	Keith	Completed
			40	Marketing resource alignment	Max	Delayed
			41	Conduct seller pitching	Jolene	To start
			42	Seller onboarding and SKU listing/migration	Jolene	To start
			43	Marketing push	MY PIC (TBC)	To start
		Crawled Matched SKUs Push	44	Selection of SKUs	MY PIC (TBC)	To start
			45	Marketing resource alignment	Max	To start
			46	SKUs migration	Jolene	To start
			47	Marketing push	MY PIC (TBC)	To start



Highlights

SG/MY to kick start first

- **Incentive Package Alignment:** To get packages for migration, acquisition, sourcing by 14 May (delayed)
- **Migration:** Identified **112 TB sellers on SHP** to start push (+ migration) from next week (after package is confirmed) - more details on next slide
- **Acquisition:** Identified list of 200 top TB sellers to acquire; to start after package confirmed
- **Sourcing:** Target alignment with CN complete; sourcing to start from mid next week after package confirmed

TH to start after all SG/MY initiatives kick-started

Private & Confidential

[Program View F&B - Pitching] We will start pitching to 112 sellers for SG/MY/TH to do migration once incentive packages are Checking; most sellers focused in snacks and beverages category

Table: Pitching list of sellers split by L2 category

L2 Category	GGP #	ADO			
		Total	SG	MY	TH
Snacks	53	1,147	354	681	113
Beverages	42	484	63	271	150
Baking Needs	7	72	6	25	40
Cooking Essentials	5	32	2	30	0
Food Staples	3	67	0	67	0
Fresh & Frozen Food	1	1	0	1	0
Convenience / Ready-to-eat	1	2	0	2	0
Total	**112**	**1,806**	**425**	**1,077**	**303**

Highlights

- Program to run in SG/MY/TH; other markets not running program due to regulatory and logistics restrictions
- Total of 112 sellers to pitch to; focus on snacks and beverages category (these were the categories identified to push in Reg's previous study)

[Overall Targets by EOY - F&B] By EOY, we expect to increase our SKU# by 38k and ADO by 1.3k, growing SKU supply by 65% and ADO by 100%

Table: F&B overall target by EoY for SG/MY - To be confirmed

Market	Metric	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Dec vs May
SG	ADO	399	467	547	608	734	810	910	999	+150%
	ADG	$4,631	$5,397	$6,312	$7,005	$8,444	$9,310	$10,441	$11,452	+147%
	SKU#	26,005	28,868	31,731	34,594	37,457	40,320	43,183	46,046	+77%
MY	ADO	960	1,040	1,122	1,209	1,299	1,462	1,643	1,720	+79%
	ADG	$6,815	$7,376	$7,962	$8,572	$9,208	$10,363	$11,642	$12,185	+78%
	SKU#	32,910	35,519	38,127	40,735	43,343	45,952	48,560	51,168	+55%

Highlights

1. SG: Dec ADO target 999 (+150% vs May); ADG $11.4k (+147% vs May); SKU# 46k (+77% vs May)
2. MY: Dec ADO target 1,720 (+79% vs May); ADG $12.2k (+78% vs May); SKU# 51k (+55% vs May)

[Overview of initiatives - F&B]

Domain	#	Initiative	Market	Description	Status	ETA
Grow SKU count through migration, acquisition, sourcing	1	Cross-Market SKU Migration	SG/MY/TH	Sellers to migrate/newly add SKUs via self-listing or migration tool	• To start SKU migration in May ; target to migrate 15k SKUs to SG and 11k by EoY • Pending incentive package to start (refer to point #5)	Mid-end May
	2	SKU Sourcing	SG/MY/TH	Develop a regional wishlist for sellers, CNCB sellers to source	• Curated wishlist with 55k SKUs; Targets Checking, pending incentive package to start (refer to point #5)	Mid-May
	3	Seller Acquisition	SG/MY/TH	To acquire sellers from top 200 TB wishlist	• Total 200 shops in wishlist, 26 TB sellers and 174 Tmall sellers • Pending incentive package to start (refer to point #5)	Mid-end May
	4	Reverse Seller Nomination	SG/MY/TH	Allow sellers on SHP to self reach out to join TB programme if they are TB sellers with proof provided	• To reach out to CN team next week to kick-start discussions on broadcasting	Mid-end May
Grow SKU efficiency	5	Incentive Package	SG/MY/TH	To finalise incentive package for 3 sources of growth: acquisition, sourcing, migration	• SG/MY: Pending incentive package (ETA 9 May) • TH: To start discussing packages after SG/MY finalise (ETA start next week)	May

3. Regional Direct Selling

Global seller center roll-out timeline: MYSG live on 8 Apr, in progress of new seller acquisition; ID/VN delayed to mid June; SG/TH delayed to mid July; PH/TW on track to launch by July

Regional rollout timeline (blue - global seller center launch; yellow - lane-level configuration; green - biz launch)

Export market	Overseas shop	Product Status	Biz Status	2025									
				1-15 Apr	16-30 Apr	May	1-15 Jun	16-30 Jun	1-15 Jul	16-31 Jul	1-15 Aug	16-31 Aug	Sep
MY	MYSG	Live (8 Apr)	In progress: New seller pitching	SC ready	Biz launch								
	MYPH	Finalizing FRF	Biz planning	SC ready			Config	Biz launch					
	MYTH	Finalizing FRF	Biz planning	SC ready			Config	Biz launch					
ID	IDMY	PRD	Start pitching from 15 May				SC ready	Biz launch					
	IDPH	Planned	Planned				SC ready	Config	Biz launch				
	IDSG	Planned	Planned				SC ready	Config	Biz launch				
	IDTH	Planned	Planned				SC ready		Config	Biz launch			
	IDTW	Planned	Planned				SC ready		Config	Biz launch			
VN	VNMY	PRD	Start pitching from 15 May				SC ready	Biz launch					
	VNSG	Planned	Planned				SC ready	Config	Biz launch				
	VNPH	Planned	Planned				SC ready	Config	Biz launch				
	VNTH	Planned	Planned				SC ready		Config	Biz launch			
	VNTW	Planned	Planned				SC ready		Config	Biz launch			
SG	SGMY	Reviewing	Biz planning						SC ready	Biz launch			
	SGTH	Planned	Planned						SC ready	Config	Biz launch		
TH	THPH	Reviewing	Biz planning						SC ready	Biz launch			
	THMY	Planned	Planned						SC ready	Config	Biz launch		
	THSG	Planned	Planned						SC ready	Config	Biz launch		
TW	TWMY	Planned	Planned								Config	Biz launch	
	TWSG	Planned	Planned								Config	Biz launch	
PH	PHMY	Planned	Planned								Config	Biz launch	
	PHSG	Planned	Planned								Config	Biz launch	

Highlights (key changes in blue)

[Overall]

- IDMY and VNMY SC launch delayed from end-May to early-Jun due to additional local features added to dev
- MYPH and MYTH lane biz launch moved earlier from Jul to late-Jun, rearranged due to ID/VN delay
- On track to launch for all lanes before Sep

[MYSG]

- Completed whitelisting of 6k existing MYSG direct sellers to the new SC in phases by 23 Apr
- Kicked off new seller acquisition from 23 Apr
- Next step to complete shop opening of migrated and newly acquired sellers by end-May

[IDMY / VNMY]

- In progress of finalizing biz launch plan (incentives, RM resources, pitching plan)
- Next step to start pitching form 15 May, target to onboard 1st batch of sellers from 12 Jun

[Others]

- **MYPH/MYTH:** finalizing FRF
- **SGMY/THPH:** reviewing FRF, Global SC target go-live early July (re-arrange timeline due to ID/VN SC delay)

Resources Alignment: in progress of aligning 1) RM resources; 2) seller incentive packages; 3) other local functional supports with ID/MY/VN, to be completed by end-May

	Team	Support needed	Resource Alignment Progress						
			ID	MY	VN	PH	SG	TH	TW
Export Market	SMT (RM)	• Resource for Direct seller pitching and post-launch management • Work with PMO to finalize pitching material and SEH articles • Support seller on shop opening, payment flow set-up, marketing asset and campaign participation	Aligned	MYSG (aligned) MYPH/TH (In progress)	Aligned	To Start	In progress	In progress	To Start
	SPX / Logs	• Support on First Mile logistic channel and rate card setting	Aligned	Aligned	In progress	To Start	In progress	In progress	To Start
	Finance / Payment	• Resource for periodically manual adjustment for seller escrow	Aligned	-	In progress	To Start	In progress	In progress	To Start
Import Market	Marketing / BD	• Confirm marketing resources / package details for direct sellers • Resource for marketing credit top-up	-	Aligned	-	In progress	Aligned	In Progress	To Start
CB	CB ops	• Migrate sold count and reviews for direct shops	-	In progress	-	-	-	-	-
	CB BPM	• Build Global Seller Center and provide training materials • Build logistics channel and prep logistics ops	In progress	In progress	In progress	In progress	In progress	In progress	In progress
	CB SIP	• Resource to support selective shop's buyer chat	In progress	In progress	In progress	In progress	In progress	In progress	In progress
	CB Payment	• Resource to update order escrow completed status	In progress	In progress	In progress	In progress	In progress	In progress	In progress
HQ	Legal /Finance	• Support on Regional TOS finalization	In progress	In progress	In progress	In progress	In progress	In progress	In progress

Highlights

- In progress of finalizing local supports from ID, MY, VN by end-May
- Kicked off resource discussion with SG and TH; to start with PH and TW after finalizing SG and TH

MYSG progress - new seller acquisition: May MTD 321 sellers accepted and in on-boarding process; 4 live shops; rest of May focus on 1) pushing/supporting accepted sellers to go live; 2) continuing pitching

Table: MYSG Direct acquisition funnel

		Acquisition funnel					Onboarding funnel	
Seller Grp	Target 1:1 pitching pool	Accepted	Rejected	On-ice	In discussion	Pending reach out	# Whitelisted	#Shops Opened
1. Not on SIP	890	28	65	344	37	416	16	4
2. On SIP - non-performing	1,570	97	215	946	80	232	70	0
3. On SIP - performing	5,562	196	350	1,462	208	3,346	143	0
Total	**8,022**	**321**	**630**	**2,752**	**325**	**3,994**	**229**	**4**

Table: MYSG Direct May MTD performance

	May MTD	May target	RR
Active sellers	**4**	**298**	**1.30%**
Live SKUs	**267**	**292,140**	**0.10%**
ADO	**0**	**10**	**0.10%**

Highlights

- New seller acquisition kicked off from 23 Apr, after the SC features are stabilized and debugged for mass scale-up
- MTD 321/8022 target sellers accepted and in onboarding progress; however only 4 shops are live
- Next steps
  - Support accepted sellers to go live by 1) weekly RM pushing to open shops; 2) biz ops to open shops for sellers after authorization
  - Continue to pitch, target complete pitching additional 900 sellers in May

IDMY seller package proposal: Propose to offer 3-month growth package for newly acquired direct sellers to support them to ramp up CB selling capabilities, and incentivize them to co-invest to MY markets

	Category	3-Month Platform Support (Following TB package)
Eligibility	All new MY direct sellers	
Rates	Commission fee	0% (for the first 3 months)
	Service fee (CCB + FSS)	0% (original setting)
BAU Exposure	Free Ads	Free Ads credit topped-up: $200 RM / month
	Ads Voucher	50% off after min spend $200 RM, cap at $200 RM / month (first come first serve)
	CFS	2-5 slots per month
Big Campaign Exposure	SSV	1. 1 x Feature Voucher 2. Enjoy 55% - 60% Voucher discount if participated
	LTD	Feature in all CB related collections

[Highlights]

- **Propose first 3 months commission waiver for new direct sellers accelerate seller onboarding and growth**
- Provide platform incentives for traffic and conversion improvement initiatives, with seller co-investment.
  - **Paid ads:** to ramp up key SKUs growth through free ads; with ads voucher to incentive seller investment
  - **SSV** pike day co-funded vouchers with seller commitment
  - LTD: seller participation in spike day LTD mechanics with platform support to enhance visibility through collection exposures

IDMY direct selling economics: Direct sellers MP PC2% expects to be on par with CNCB sellers after 3 months incubation period at 6.0% with same level of platform fees being charged

Financials		Direct		Comparison	
		First 3 months	After 3 months	SIP	CNCB
Revenue	**Total Revenue**	**6.4%**	**21.4%**	**21.6%**	**21.4%**
	Commission Fees	0.0%	15.0%	15.0%	15.0%
	Handling Fees	3.5%	3.5%	2.2%	3.5%
	Net Ads	2.9%	2.9%	4.4%	2.9%
PRM	**Total PRM Cost**	**12.3%**	**12.4%**	**11.7%**	**12.4%**
	Item Rebate	0.0%	0.1%	0.8%	0.1%
	Voucher/Coins Rebate	8.9%	8.9%	7.6%	8.9%
	Logistic Rebate	3.4%	3.4%	3.3%	3.4%
Transaction	**Transaction Cost**	3.0%	3.0%	2.2%	3.0%
Profitability	PC1 (USD)	-5.9%	9.0%	9.9%	9.0%
	PC2 (USD)	**-8.9%**	**6.0%**	**7.7%**	**6.0%**

[Highlights]

- Temporary negative PnL at -8.9% anticipated during low ADO incubation period to drive early stage growth; PC% projected to align with existing CNCB direct sellers, with estimated 21.4% revenue and 12.4% PRM cost
- MP PC2% expects to be slightly lower than SIP sellers due to a more conservative ads investment assumed

IDMY P&L implications to MY: Direct sellers MP PC2 expects to remain negative for first 3 months with incentives; revenue generating after 3 months with batch 1 pitched sellers MP PC2 at projected $51K by end-Dec

Metrics		Jun 2025	Jul 2025	Aug 2025	Sep 2025	Oct 2025	Nov 2025	Dec 2025
Performance	# Shop	440	440	440	440	440	440	440
	ADO	51	258	515	1,029	1,545	2,059	2,575
	ADGMV (USD)	$548	$2,772	$5,535	$11,058	$16,603	$22,127	$27,672
PC2	**Total Revenue (% of GMV)**	6.4%	6.4%	6.4%	21.4%	21.4%	21.4%	21.4%
	-- Commission Fee	0.0%	0.0%	0.0%	15.0%	15.0%	15.0%	15.0%
	-- Transaction Fee	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%
	-- Net Ads	2.9%	2.9%	2.9%	2.9%	2.9%	2.9%	2.9%
	Total PRM Cost (% of GMV)	12.3%	12.3%	12.3%	12.4%	12.4%	12.4%	12.4%
	-- Item Rebate	0.0%	0.0%	0.0%	0.1%	0.1%	0.1%	0.1%
	-- Voucher/Coins Rebate	8.9%	8.9%	8.9%	8.9%	8.9%	8.9%	8.9%
	-- Logistic Rebate	3.4%	3.4%	3.4%	3.4%	3.4%	3.4%	3.4%
	Handling Cost (% of GMV)	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%
	PC1 (% of GMV)	-5.9%	-5.9%	-5.9%	9.0%	9.0%	9.0%	9.0%
	PC2 (% of GMV)	-8.9%	-8.9%	-8.9%	6.0%	6.0%	6.0%	6.0%
	PC2 (USD)	-$1,464	-$7,649	-$15,270	$19,905	$30,882	$39,828	$51,470
	Accumulative PC2 (USD)	-$1,464	-$9,113	-$24,383	-$4,478	$26,404	$66,232	$117,702

[Highlights]

- Using Batch 1 pitched sellers as a reference case, MP PC2% is projected to turn positive at 6.0% after three months support
- By Dec, Batch 1 sellers are expected to achieve 2.6k ADO and $28k ADG, generating approximately $51K in PC2 revenue to MY
- PC2 breakeven by 5th month with full year Jun - Dec total combined PC2 projected to be 117k USD